HYUNDAI ROTEM COMPANY
AND ITS SUBSIDIARIES

CONSOLIDATED FINANCIAL STATEMENTS
AS OF AND FOR THE YEARS ENDED
DECEMBER 31, 2025 AND 2024

ATTACHMENT: INDEPENDENT AUDITORS' REPORT

HYUNDAI ROTEM COMPANY

Contents

KPMG SAMJONG

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Independent Auditors' Report

Based on a report originally issued in Korean

To the Shareholders and Board of Directors of
HYUNDAI ROTEM COMPANY:

Opinion

We have audited the consolidated financial statements of HYUNDAI ROTEM COMPANY and its subsidiaries ("the Group"), which comprise the consolidated statements of financial position as of December 31, 2025 and 2024, the consolidated statements of comprehensive income, changes in equity and cash flows for the years then ended, and notes, including material accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as of December 31, 2025 and 2024, and its consolidated financial performance and its consolidated cash flows for the years then ended in accordance with Korean International Financial Reporting Standards ("K-IFRS").

We also have audited, in accordance with Korean Standards on Auditing (KSAs), the Group's Internal Control over Financial Reporting for Consolidation Purposes ("ICFR") as of December 31, 2025 based on the criteria established in Conceptual Framework for Designing and Operating Internal Control over Financial Reporting issued by the Operating Committee of Internal Control over Financial Reporting in the Republic of Korea, and our report dated March 4, 2026 expressed an unmodified opinion on the effectiveness of the Group's Internal Control over Financial Reporting for consolidation purposes.

Basis for Opinion

We conducted our audits in accordance with Korean Standards on Auditing (KSAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in Republic of Korea, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matter

The key audit matter is a matter that, in our professional judgment, was of most significance in our audit of the consolidated financial statements as of and for the year ended December 31, 2025. This matter was addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on this matter.

- Uncertainty in the estimation of total contract costs

As described in Note 2 (Material Accounting Policies) to the consolidated financial statements, the Group recognizes contract revenue under percentage of completion method for contract activities at the end of the reporting period only if the Group's performance does not create an asset with an alternative use to the Group and the Group has an enforceable right to payment for performance completed to date. The percentage of completion method is based on the percentage of costs incurred to date, excluding any contract costs that do not reflect the work performed, to the estimated total costs of the contract.

As described in Note 3 (Material Accounting Estimates and Assumptions) to the consolidated financial statements, when determining progress of contract activities under the percentage of completion method, the estimated total contract costs are calculated based on future estimates such as material costs, labor costs, construction period and other factors. Furthermore, as described in Note 27 (Construction Contracts) to the consolidated financial statements, the estimated total contract costs increased by ₩242,356 million due to the changes in estimates in 2025.

As the group's construction contracts are generally long-term in nature and its customers for construction projects are located overseas, the measurement of estimated total contract costs is affected by various uncertainties such as changes in specifications or design, construction environment, material costs and/or changes in foreign currency exchange rates, and other factors. Given the uncertainty of the estimated total contract costs and associated impacts on the profit or loss for the current year (or for the future periods), we identified uncertainty of the estimated total contract costs as a key audit matter.

The primary procedures we performed to address this key audit matter included the following:

- Testing of the design and operating effectiveness of internal controls related to the determination of estimated total contract costs.
- Inspection of supporting documents to verify that estimated total contract costs were appropriately approved by authorized personnel.
- Retrospective review of projects with significant changes in estimated total contract costs.
- For projects with significant changes in estimated total contract costs, assessment of the causes of such changes and, where necessary, inspecting relevant supporting documents.
- Assessment of the causes of projects with significant changes between accumulated costs incurred and estimated total contract costs for the contracts completed during the current year, and, where necessary, inspection of relevant documents.
- Testing, on a sample basis, of the occurrence of costs incurred, the accuracy of cost amounts, and the appropriateness of project cost allocation.
- For selected major projects, inquiries on progress and significant changes.
- Analytical review of cumulative costs incurred by item for major projects to assess the appropriateness of estimated total contract costs.
- Inquiry into the existence of projects experiencing construction delays among major projects and whether the impact of such delays is reflected in estimated total contract costs, and where necessary, inspection of relevant documents.

Other Matter

The procedures and practices utilized in the Republic of Korea to audit such consolidated financial statements may differ from those generally accepted and applied in other countries.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with K-IFRS, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with KSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with KSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.

- Evaluate the appropriateness of accounting policies used in the preparation of the consolidated financial statements and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditors' report is Jae-Yeon Kim.

KPMG Samjong Accounting Corp.

Seoul, Korea
March 4, 2026

This report is effective as of March 4, 2026, the audit report date. Certain subsequent events or circumstances, which may occur between the audit report date and the time of reading this report, could have a material impact on the accompanying consolidated financial statements and notes thereto. Accordingly, the readers of the audit report should understand that the above audit report has not been updated to reflect the impact of such subsequent events or circumstances, if any.

HYUNDAI ROTEM COMPANY AND ITS SUBSIDIARIES

CONSOLIDATED FINANCIAL STATEMENTS AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024

The accompanying financial statements, including all footnote disclosures, were prepared by, and are the responsibility of, the Group.

Lee, Yong Bae
Chief Executive Officer
HYUNDAI ROTEM COMPANY

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HYUNDAI ROTEM COMPANY AND ITS SUBSIDIARIES

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

AS OF DECEMBER 31, 2025 AND DECEMBER 31, 2024

ASSETS	NOTES		2025		2024
			(In thousands of Korean Won)		
Current assets:					
Cash and cash equivalents	4,21,35	₩	908,414,081	₩	472,258,339
Trade receivables	5,21,27, 35,36		3,391,942,258		909,369,742
Other receivables	6,21,36		45,947,124		55,767,350
Contract assets	5,27,36		1,012,942,849		802,137,829
Other financial assets	4,7,21, 35,36		368,589,727		298,218,173
Inventories	8,31		502,970,368		315,635,860
Current tax assets			1,440,603		1,104,397
Other current assets	9,21,36		930,793,495		831,825,040
Total current assets		₩	7,163,040,505	₩	3,686,316,730
Non-current assets:					
Long-term trade receivables	5,21,27, 35,36		29,476,403		59,228,280
Long-term other receivables	4,6,21, 35,36		16,797,712		16,643,090
Long-term other financial assets	7,21,35		75,637,608		53,936,705
Property, plant and equipment	10,37		1,819,917,863		1,292,029,942
Investment in properties	11		29,129,484		9,974,553
Right-of-use assets	12,36		22,103,639		26,075,523
Intangible assets	13,14		111,040,899		104,143,662
Investment in associates	15,36, 37		1,171,993		1,242,609
Net defined benefit asset	18		29,237,799		14,499,464
Other non-current assets	9,21		19,577,183		18,579,851
Deferred income tax assets	32		902,686		2,724,331
Total non-current assets		₩	2,154,993,269	₩	1,599,078,010
Total assets		₩	9,318,033,774	₩	5,285,394,740

(Continued)

HYUNDAI ROTEM COMPANY AND ITS SUBSIDIARIES

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION, CONTINUED

AS OF DECEMBER 31, 2025 AND DECEMBER 31, 2024

LIABILITIES AND EQUITY	NOTES		2025		2024
			(In thousands of Korean Won)		
Current liabilities:					
Trade payables	21,35,36	₩	689,346,439	₩	431,986,856
Other payables	21,35,36		104,577,556		93,076,845
Contract liabilities	27,36		3,972,014,070		1,794,227,928
Short-term borrowings	10,16,21,34,35,37		49,136,977		60,392,677
Current portion of long-term borrowings	10,16,21,34,35,37		-		261,946,020
Lease liabilities	17,21,34,35,36		6,830,877		6,291,998
Current tax liabilities	32		144,274,687		35,180,076
Provisions	19,27		91,997,199		80,637,987
Other current liabilities	20,21,35,37		718,177,377		256,113,331
Total current liabilities		₩	5,776,355,182	₩	3,019,853,718
Non-current liabilities:					
Debentures	16,21,34,35		49,746,488		-
Long-term borrowings	10,16,21,34,35,37		11,028,600		2,600,000
Lease liabilities	17,21,34,35,36		15,685,736		19,848,947
Net defined benefit liability	18		29,258		220,550
Provisions	19,37		223,486,893		155,683,451
Other non-current liabilities	20,21,35		34,637,873		20,088,926
Deferred income tax liabilities	32		165,830,128		58,013,959
Total non-current liabilities		₩	500,444,976	₩	256,455,833
Total liabilities		₩	6,276,800,158	₩	3,276,309,551
Equity:					
Share capital	1,22		545,711,465		545,711,465
Other contributed capital	23		519,839,907		519,839,907
Other components of equity	24		579,249,976		290,812,699
Retained earnings	25		1,434,221,631		688,613,752
Equity attributable to owners of the Company		₩	3,079,022,979	₩	2,044,977,823
Non-controlling interest		₩	(37,789,363)	₩	(35,892,634)
Total equity		₩	3,041,233,616	₩	2,009,085,189
Total liabilities and equity		₩	9,318,033,774	₩	5,285,394,740

(Concluded)

See accompanying notes to the consolidated financial statements.

HYUNDAI ROTEM COMPANY AND ITS SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024

	NOTES	2025	2024
		(In thousands of Korean Won, except per share amounts)	
Sales	26,27,36,38	₩ 5,839,031,553	₩ 4,376,597,857
Cost of sales	31,36	4,447,015,540	3,547,550,219
Gross profit		₩ 1,392,016,013	₩ 829,047,638
Selling and administrative expenses	28,31,36	386,375,504	372,482,104
Operating profit	38	₩ 1,005,640,509	₩ 456,565,534
Other income	21,29	118,100,416	114,050,169
Other expenses	21,29,31	156,525,094	84,254,421
Finance income	21,30,36	94,532,620	75,210,934
Finance costs	21,30	57,400,979	51,904,505
Share of loss of associates	15	(70,616)	(106,623)
Profit before income tax		₩ 1,004,276,856	₩ 509,561,088
Income tax expense (benefit)	32	233,784,657	104,301,674
Profit for the year		₩ 770,492,199	₩ 405,259,414
Other comprehensive income			
Items that will not be reclassified to profit or loss:		305,695,317	(24,820,138)
Remeasurements of defined benefit plan		(2,511,176)	(24,820,138)
Gain on valuation of financial assets at fair value	7	125,736	-
Gain on revaluation of land		308,080,757	-
Items that may be subsequently reclassified to profit or loss:		(1,500,638)	(7,416,013)
Gain on foreign operations translation, net		(1,500,638)	(7,416,013)
Other comprehensive income(loss) for the year		₩ 304,194,679	₩ (32,236,151)
Total comprehensive income(loss) for the year		₩ 1,074,686,878	₩ 373,023,263

(Continued)

HYUNDAI ROTEM COMPANY AND ITS SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME, CONTINUED

FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024

	NOTES		2025		2024
		(In thousands of Korean Won, except per share amounts)			
Profit (loss) is attributable to:					
Owners of the parent company		₩	769,947,514	₩	406,891,810
Non-controlling interest			544,685		(1,632,396)
Total comprehensive income (loss) is attributable to:					
Owners of the parent company		₩	1,076,583,608	₩	376,037,452
Non-controlling interest			(1,896,730)		(3,014,189)
Earnings per share					
Basic earnings per share (in won)	33	₩	7,055	₩	3,728

(Concluded)

See accompanying notes to the consolidated financial statements.

HYUNDAI ROTEM COMPANY AND ITS SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024

	Capital stock	Other Contributed Capital	Other Components of Equity	Retained earnings (Accumulated Deficit)	Total equity attributable to the owners of the Group	Non-controlling interests	Total equity
	(In thousands of Korean Won)						
Balance at January 1, 2024	₩ 545,711,465	₩ 519,839,907	₩ 297,126,478	₩ 317,176,751	₩ 1,679,854,601	₩ (32,878,445)	₩ 1,646,976,156
Total Comprehensive income:							
Profit for the year	-	-	-	406,891,810	406,891,810	(1,632,396)	405,259,414
Remeasurements of net defined benefit liabilities	-	-	-	(24,820,138)	(24,820,138)	-	(24,820,138)
Gain (loss) on foreign operations translation, net	-	-	(6,034,221)	-	(6,034,221)	(1,381,793)	(7,416,014)
Reclassification adjustments on disposal of financial assets measured at fair value through other comprehensive income	-	-	(279,558)	279,558	-	-	-
Cash dividends	-	-	-	(10,914,229)	(10,914,229)	-	(10,914,229)
Balance at December 31, 2024	₩ 545,711,465	₩ 519,839,907	₩ 290,812,699	₩ 688,613,752	₩ 2,044,977,823	₩ (35,892,634)	₩ 2,009,085,189
Balance at January 1, 2025	₩ 545,711,465	₩ 519,839,907	₩ 290,812,699	₩ 688,613,752	₩ 2,044,977,823	₩ (35,892,634)	₩ 2,009,085,189
Total Comprehensive income:							
Profit for the year	-	-	-	769,947,514	769,947,514	544,685	770,492,199
Remeasurements of net defined benefit liabilities	-	-	-	(2,511,176)	(2,511,176)	-	(2,511,176)
Gain on valuation of financial assets at fair value through other comprehensive income	-	-	125,736	-	125,736	-	125,736
Gain (loss) on foreign operations translation, net	-	-	580,327	-	580,327	(2,080,965)	(1,500,638)
Disposal of subsidiary	-	-	(20,349,543)	-	(20,349,543)	(360,449)	(20,709,992)
Gain on revaluation of land	-	-	308,080,757	-	308,080,757	-	308,080,757
Cash dividends	-	-	-	(21,828,459)	(21,828,459)	-	(21,828,459)
Balance at December 31, 2025	₩ 545,711,465	₩ 519,839,907	₩ 579,249,976	₩ 1,434,221,631	₩ 3,079,022,979	₩ (37,789,363)	₩ 3,041,233,616

See accompanying notes to the consolidated financial statements.

HYUNDAI ROTEM COMPANY AND ITS SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS

FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024

	NOTES	2025	2024
		(In thousands of Korean Won)	
Cash flows from operating activities:			
Cash generated from operations:	34		
Profit for the year		₩ 770,492,199	₩ 405,259,414
Adjustments		369,128,992	282,153,570
Changes in operating assets and liabilities		(120,374,786)	(541,094,170)
		₩ 1,019,246,405	₩ 146,318,814
Interest received		31,467,082	29,900,557
Interest paid		(8,210,116)	(17,094,214)
Dividends received		153,119	155,395
Income tax paid		(138,342,996)	(16,817,143)
Net cash provided by operating activities		₩ 904,313,494	₩ 142,463,409
Cash flows from investing activities:			
Increase in government grants for assets		5,462,497	3,333,849
Decrease in short-term financial instruments		10,551,714	328,681,708
Decrease in short-term loans		4,887,605	3,814,876
Decrease in long-term loans		19,440	10,590
Decrease in long-term financial instruments		-	8,692
Proceeds from disposal of financial assets at fair value through profit or loss		1,885,106	822,531
Decrease in short-term deposits		257,955	81,130
Decrease in long-term deposits		2,789,859	383,058
Decrease in long-term guarantee deposits		1,837,524	973,257
Proceeds from settlement of derivatives		33,827,010	23,230,034
Proceeds from disposal of property, plant and equipment		294,614	89,709
Proceeds from disposal of intangible assets		-	4,240,510
Increase in short-term financial instruments		(106,461,843)	(6,326,313)
Increase in long-term financial instruments		(16,416,660)	(31,553)
Increase in short-term deposits		(452,030)	(51,362)
Acquisition of financial assets at fair value through profit or loss		(4,513,523)	(2,327,595)
Acquisition of investments in associates		-	(880,000)
Increase in long-term loans		(4,500,000)	(4,727,000)
Increase in long-term deposits		(3,052,742)	(1,945,854)
Increase in long-term guarantee deposits		(1,751,494)	(1,737,997)
Acquisition of property, plant and equipment		(129,245,658)	(80,999,247)
Acquisition of intangible assets		(27,225,833)	(34,026,925)
Payments for other investing activities		-	(2,967)
Net cash provided by (used in) investing activities		₩ (231,806,459)	₩ 232,613,131

(Continued)

HYUNDAI ROTEM COMPANY AND ITS SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS, CONTINUED

FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024

	NOTES	2025	2024
		(In thousands of Korean Won)	
Cash flows from financing activities:			
Proceeds from short-term borrowings		₩ 23,443,640	₩ 20,771,005
Proceeds from issuance of debentures		49,729,668	-
Proceeds from other financing activities		5,934,435	2,308,185
Repayment of short-term borrowings		(31,076,423)	(46,448,457)
Repayment of current portion of debentures and long-term borrowings		(255,650,000)	(260,038,260)
Repayment of lease liabilities		(7,470,920)	(5,373,115)
Cash dividends		(21,828,459)	(10,914,229)
Payments for other financing activities		(149,253)	-
Net cash used in financing activities		₩ (237,067,312)	₩ (299,694,871)
Net increase in cash and cash equivalents		₩ 435,439,723	₩ 75,381,669
Effect of exchange rate changes on cash and cash equivalents		716,019	735,427
Cash and cash equivalents, beginning of the year		472,258,339	396,141,243
Cash and cash equivalents, end of the year		₩ 908,414,081	₩ 472,258,339

(Concluded)

See accompanying notes to the consolidated financial statements.

1. General Information

The general information of Hyundai Rotem Co., Ltd. (the “Group” or “Parent Group”), and its subsidiaries (hereinafter referred to as the “Group”) are as follows.

(1) Details of the Group

The Group was incorporated on July 1, 1999, to manufacture and sell railway vehicles and related parts by spinning off the railway vehicles divisions of HD Hyundai Infracore Co., Ltd. ("HDHI", formerly Daewoo Heavy Industries Ltd.), HJ Heavy Industries & Construction Co., Ltd. ("HJHIC", formerly Hanjin Heavy Industries & Construction Co., Ltd.), and Hyundai Mobis (“HMBS”, formerly Hyundai Precision & Ind. Co., Ltd.) under the government's restructuring plan to reduce the overlapping investments. The Group has manufacturing facilities in Uiwang-Si, Gyeonggi-do and Changwon-si, Kyungsangnam-do.

In August 1999, all of the Group’s shares held by HMBS were transferred to Hyundai Motor Group. Further, on September 29, 2001, Hyundai Motor Group acquired all of the 39.18% ownership interest in the Group held by HDHI, and HJHIC sold all of its shares to third parties in 2006.

The Group took over the comprehensive operations of the Defense Systems and Plant & Machinery business of HMBS (effective date: January 1, 2002), the Aerospace business of HMBS related to the Defense Systems business (effective date: February 1, 2004) and the Environment business of HMBS related to the Plant & Machinery business (effective date: September 30, 2006).

The Group changed its name from Rotem Group to Hyundai Rotem Company on November 19, 2007, and the shares of the Group were listed on the Korea Exchange on October 30, 2013 through initial public offering.

The Group’s major shareholders as of December 31, 2025 and 2024, are as follows:

(in shares and in percentage (%))	**2025**		**2024**	
	Number of shares	**Percentage of ownership (%)**	**Number of shares**	**Percentage of ownership (%)**
Hyundai Motor Group	36,852,432	33.77	36,852,432	33.77
Other minority shareholders	72,289,861	66.23	72,289,861	66.23
	109,142,293	100.00	109,142,293	100.00

(2) Details of the consolidated subsidiaries as of December 31, 2025 and 2024, are as follows.

(in percentage (%))				2025		2024	
				Controlling	Non-controlling	Controlling	Non-controlling
Subsidiaries	**Nature of business**	**Location**	**Closing month**	**Percentage of ownership (%)**		**Percentage of ownership (%)**	
Hyundai Rotem USA Corporation[1]	Production and sales of train	USA	December 31	100	-	100	-
Hyundai Rotem Smart Electric America[1]	Production and sales of Rail way electrical equipment	USA	December 31	100	-	100	-
Rotem Equipments (Beijing) Co. Ltd.	Sales and maintenance of automobile equipment	China	December 31	100	-	100	-
Hyundai EURotem Demiryolu Araclari Sanayi ve Ticaret A.S	Production and sales of train	Turkey	December 31	50.5	49.5	50.5	49.5
Maintrans Co., Ltd.	Maintenance of train	Korea	December 31	100	-	100	-
S-Trans Co., Ltd	Operatioin and Maintenance of train	Korea	December 31	100	-	100	-
Gimpo Goldline SRS CO., Ltd.	Operatioin and Maintenance of train	Korea	December 31	100	-	100	-
Rotem SRS Co., Ltd.[2]	Operatioin and Maintenance of train	Korea	December 31	100	-	100	-
Rotem SRS Egypt LLC.[2]	Maintenance of train	Egypt	December 31	98	2	98	2
Rotem SRS Ukraine LLC.[2]	Maintenance of train	Ukraine	December 31	100	-	100	-
Hyundai Rotem Brasil Industria E Comercio De Trens Ltda.	Production and sales of train	Brazil	December 31	100	-	100	-
HYUNDAI ROTEM COMPANY - HYUNDAI EUROTEM Demiryolu Araclari SAN. VE TIC. A.S ORTAK GIRISIMI[3]	Sales of train	Turkey	December 31	-	-	100	-
HYUNDAI ROTEM - HYUNDAI EUROTEM Mahmutbey Projesi ORTAK GIRISIMI[3]	Sales of train	Turkey	December 31	-	-	100	-
HYUNDAI ROTEM EUROPE SP. Z O.O.	Maintenance of Defense system	Poland	December 31	100	-	100	-
HYUNDAI ROTEM AUSTRALIA PTY LTD	Sales of train	Australia	December 31	100	-	100	-
HR MECHANICAL SERVICES LIMITED	Maintenance of train	New Zealand	December 31	100	-	100	-

[1] Hyundai Rotem USA Corporation owns 100% of Hyundai Rotem Smart Elecric Amercia.

[2] Rotem SRS Co., Ltd. owns 98% of Rotem SRS Egypt LLC. and 100% of Rotem SRS Ukraine LLC.

[3] The Group completed the liquidation of the following entities during the current period: HYUNDAI ROTEM COMPANY - HYUNDAI EUROTEM Demiryolu Araclari SAN. VE TIC. A.S ORTAK GIRISIMI and HYUNDAI ROTEM - HYUNDAI EUROTEM Mahmutbey Projesi ORTAK GIRISIMI.

(3) Summarized financial information for consolidated subsidiaries as of December 31, 2025 and 2024 are as follows.

	2025						
(in thousands of Korean won)	**Current assets**	**Non-current assets**	**Total assets**	**Current liabilities**	**Non-current liabilities**	**Total liabilities**	**Equity**
Hyundai Rotem USA Corporation[1]	₩ 262,333,951	₩ 26,776,371	₩ 289,110,322	₩ 280,428,391	₩ 10,094,989	₩ 290,523,380	₩ (1,413,058)
Rotem Equipments(Beijing) Co., Ltd.	2,550,873	9,147	2,560,020	918,055	-	918,055	1,641,965
Hyundai EURotem Demiryolu Araclari Sanayi ve Ticaret A.S	24,907,675	1,818,946	26,726,621	70,977,520	26,267,231	97,244,751	(70,518,130)
Maintrans Co., Ltd.	34,812,276	4,753,433	39,565,709	29,141,004	908,695	30,049,699	9,516,010
Rotem SRS Co., Ltd.[1]	25,715,733	2,390,577	28,106,310	17,877,689	2,644,341	20,522,030	7,584,280
S-Trans Co., Ltd	2,717,982	1,243,638	3,961,620	1,356,843	366,352	1,723,195	2,238,425
Gimpo Goldline SRS CO., Ltd.	5,586,901	359,307	5,946,208	4,190,709	107,768	4,298,477	1,647,731
Hyundai Rotem Brasil Industria E Comercio De Trens Ltda.	26,540,287	40,483,814	67,024,101	16,741,401	1,415,281	18,156,682	48,867,419
HYUNDAI ROTEM EUROPE SP. Z O.O.	6,986,942	1,279,672	8,266,614	922,327	-	922,327	7,344,287
HYUNDAI ROTEM AUSTRALIA PTY LTD	1,773,308	13,150	1,786,458	427,503	-	427,503	1,358,955
HR Mechanical Services Limited	2,116,316	142,570	2,258,886	931,477	-	931,477	1,327,409

	2024						
(in thousands of Korean won)	**Current assets**	**Non-current assets**	**Total assets**	**Current liabilities**	**Non-current liabilities**	**Total liabilities**	**Equity**
Hyundai Rotem USA Corporation[1]	₩ 217,687,247	₩ 23,267,021	₩ 240,954,268	₩ 230,673,452	₩ 8,569,974	₩ 239,243,426	₩ 1,710,842
Rotem Equipments(Beijing) Co., Ltd.	3,774,761	9,556	3,784,317	4,908,243	-	4,908,243	(1,123,926)
Hyundai EURotem Demiryolu Araclari Sanayi ve Ticaret A.S	25,179,530	3,723,634	28,903,164	74,683,925	16,188,054	90,871,979	(61,968,815)
Maintrans Co., Ltd.	19,287,258	3,039,375	22,326,633	13,838,244	549,555	14,387,799	7,938,834
Rotem SRS Co., Ltd.[1]	18,960,486	2,774,311	21,734,797	12,185,152	2,753,172	14,938,324	6,796,473
S-Trans Co., Ltd	2,037,202	1,192,385	3,229,587	120,889	394,070	514,959	2,714,628
Gimpo Goldline SRS CO., Ltd.	4,517,332	408,846	4,926,178	2,925,187	358,387	3,283,574	1,642,604
Hyundai Rotem Brasil Industria E Comercio De Trens Ltda.	39,242,886	19,282,306	58,525,192	14,119,703	551,492	14,671,195	43,853,997
HYUNDAI ROTEM COMPANY - HYUNDAI EUROTEM Demiryolu Araclari SAN. VE TIC. A.S ORTAK GIRISIMI	909,593	25	909,618	9,855,745	825,682	10,681,427	(9,771,809)
HYUNDAI ROTEM - HYUNDAI EUROTEM Mahmutbey Projesi ORTAK GIRISIMI	286,010	-	286,010	2,163,821	-	2,163,821	(1,877,811)
HYUNDAI ROTEM EUROPE SP. Z O.O.	5,992,143	1,062,278	7,054,421	1,005,516	-	1,005,516	6,048,905
HYUNDAI ROTEM AUSTRALIA PTY LTD	1,449,056	10,526	1,459,582	342,169	-	342,169	1,117,413
HR Mechanical Services Limited	1,700,925	193,587	1,894,512	618,347	16,994	635,341	1,259,171

[1] The amounts are presented based on the subsidiary's consolidated financial statements

(4) Summarized results of operation of consolidated subsidiaries for the year ended December 31, 2025 and 2024 are as follows.

	2025					
(in thousands of Korean won)		**Sales**		**Operating profit (loss)**		**Profit (loss) for the year**
Hyundai Rotem USA Corporation	₩	62,303,618	₩	(3,156,468)	₩	(3,055,804)
Rotem Equipments(Beijing) Co., Ltd.		4,869,492		(94,133)		2,690,431
Hyundai EURotem Demiryolu Araclari Sanayi ve Ticaret A.S		38,494,315		5,308,091		(1,954,631)
Maintrans Co., Ltd.		86,995,220		1,177,068		1,182,183
Rotem SRS Co., Ltd.		43,602,754		1,357,547		612,998
S-Trans Co., Ltd		578,040		(451,232)		(476,339)
Gimpo Goldline SRS CO., Ltd.		28,769,730		(209,531)		125,761
Hyundai Rotem Brasil Industria E Comercio De Trens Ltda.		11,325,415		(4,481,961)		(941,244)
HYUNDAI ROTEM COMPANY - HYUNDAI EUROTEM Demiryolu Araclari SAN. VE TIC. A.S ORTAK GIRISIMI		-		(881,335)		8,077,451
HYUNDAI ROTEM - HYUNDAI EUROTEM Mahmutbey Projesi ORTAK GIRISIMI		-		(274,010)		1,519,309
HYUNDAI ROTEM EUROPE SP. Z O.O.		12,562,163		598,201		558,965
HYUNDAI ROTEM AUSTRALIA PTY LTD		4,230,518		222,631		175,536
HR Mechanical Services Limited		1,683,748		88,213		85,524

	2024					
(in thousands of Korean won)		**Sales**		**Operating profit (loss)**		**Profit (loss) for the year**
Hyundai Rotem USA Corporation	₩	124,051,927	₩	1,232,637	₩	3,043,390
Rotem Equipments(Beijing) Co., Ltd.		5,086,569		431,408		433,695
Hyundai EURotem Demiryolu Araclari Sanayi ve Ticaret A.S		9,392,158		(1,282,178)		(3,281,713)
Maintrans Co., Ltd.		65,947,798		2,058,041		1,594,062
Rotem SRS Co., Ltd.		44,389,229		1,324,375		2,021,575
S-Trans Co., Ltd		-		(318,284)		(296,747)
Gimpo Goldline SRS CO., Ltd.		6,885,866		(524,538)		(357,396)
Hyundai Rotem Brasil Industria E Comercio De Trens Ltda.		7,955,259		(2,336,819)		(576,359)
HYUNDAI ROTEM COMPANY - HYUNDAI EUROTEM Demiryolu Araclari SAN. VE TIC. A.S ORTAK GIRISIMI		-		(6,585)		72,209
HYUNDAI ROTEM - HYUNDAI EUROTEM Mahmutbey Projesi ORTAK GIRISIMI		-		(4,551)		(275,546)
HYUNDAI ROTEM EUROPE SP. Z O.O.		6,120,553		291,475		230,121
HYUNDAI ROTEM AUSTRALIA PTY LTD		512,734		25,637		20,674
HR Mechanical Services Limited		2,433,588		53,287		49,199

Differences in accounting policies between the Parent Group and its subsidiaries have been adjusted on the above condensed results of operations, but intergroup transactions have not been eliminated.

(5) Summarized cash flows of consolidated subsidiaries for the year ended December 31, 2025 and 2024 are as follows.

	2025						
(in thousands of Korean won)	**Cash flows from operating activities**	**Cash flows from investing activities**	**Cash flows from financing activities**	**Net increase (decrease) in cash and cash equivalents**	**Cash and cash equivalents at beginning of the year**	**Effects of exchange rate changes on cash and cash equivalents**	**Cash and cash equivalents at end of the year**
Hyundai Rotem USA Corporation	₩ 16,022,877	₩ (4,386,061)	₩ -	₩ 11,636,816	₩ 31,620,499	₩ (651,270)	₩ 42,606,045
Rotem Equipments(Beijing) Co., Ltd.	(602,358)	(1,445)	-	(603,803)	1,120,301	(1,884)	514,614
Hyundai EURotem Demiryolu Araclari Sanayi ve Ticaret A.S	5,581,119	(169,088)	-	5,412,031	1,602,264	(116,259)	6,898,036
Maintrans Co., Ltd.	6,109,055	(797,920)	(292,356)	5,018,779	1,627,023	-	6,645,802
Rotem SRS Co., Ltd.	(747,372)	(54,773)	863,154	61,009	3,076,188	71,715	3,208,912
S-Trans Co., Ltd	968,675	(131,244)	(123,418)	714,013	1,999,226	-	2,713,239
Gimpo Goldline SRS CO., Ltd.	926,554	(3,379)	(29,983)	893,192	4,024,762	-	4,917,954
Hyundai Rotem Brasil Industria E Comercio De Trens Ltda.	(4,020,565)	(28,687,147)	288,799	(32,418,913)	30,458,955	2,208,748	248,790
HYUNDAI ROTEM COMPANY – HYUNDAI EUROTEM Demiryolu Araclari SAN. VE TIC. A.S ORTAK GIRISIMI	(493,174)	-	-	(493,174)	74,235	418,939	-
HYUNDAI ROTEM – HYUNDAI EUROTEM Mahmutbey Projesi ORTAK GIRISIMI	(115,375)	-	-	(115,375)	134	115,241	-
HYUNDAI ROTEM EUROPE SP. Z O.O.	(1,494,132)	(325,685)	-	(1,819,817)	3,366,464	298,019	1,844,666
HYUNDAI ROTEM AUSTRALIA PTY LTD	31,792	(2,374)	-	29,418	1,048,042	55,393	1,132,853
HR Mechanical Services Limited	93,824	(970)	(27,538)	65,316	1,125	(21,554)	44,887

(in thousands of Korean won)	2024 Cash flows from operating activities	Cash flows from investing activities	Cash flows from financing activities	Net increase (decrease) in cash and cash equivalents	Cash and cash equivalents at beginning of the year	Effects of exchange rate changes on cash and cash equivalents	Cash and cash equivalents at end of the year
Hyundai Rotem USA Corporation	₩ 43,359,389	₩ (21,303,733)	₩ -	₩ 22,055,656	₩ 6,886,003	₩ 2,678,840	₩ 31,620,499
Rotem Equipments(Beijing) Co., Ltd.	550,487	-	-	550,487	480,421	89,393	1,120,301
Hyundai EURotem Demiryolu Araclari Sanayi ve Ticaret A.S	(7,119,214)	(59,257)	-	(7,178,471)	9,075,430	(294,694)	1,602,265
Maintrans Co., Ltd.	1,462,693	(959,610)	(128,993)	374,090	1,252,932	-	1,627,022
Rotem SRS Co., Ltd.	(550,992)	(1,194,740)	(115,583)	(1,861,315)	4,931,653	5,851	3,076,189
S-Trans Co., Ltd	(205,250)	1,528,491	(74,205)	1,249,036	750,219	(29)	1,999,226
Gimpo Goldline SRS CO., Ltd.	2,182,527	(149,687)	1,991,922	4,024,762	-	-	4,024,762
Hyundai Rotem Brasil Industria E Comercio De Trens Ltda.	8,189,971	(50,642)	-	8,139,329	25,419,136	(3,099,509)	30,458,956
HYUNDAI ROTEM COMPANY – HYUNDAI EUROTEM Demiryolu Araclari SAN. VE TIC. A.S ORTAK GIRISIMI	17,511	-	-	17,511	60,772	(4,048)	74,235
HYUNDAI ROTEM – HYUNDAI EUROTEM Mahmutbey Projesi ORTAK GIRISIMI	27,538	-	-	27,538	329	(27,733)	134
HYUNDAI ROTEM EUROPE SP. Z O.O.	610,340	(391,280)	-	219,060	2,890,146	257,258	3,366,464
HYUNDAI ROTEM AUSTRALIA PTY LTD	(37,267)	(10,364)	1,095,420	1,047,789	-	253	1,048,042
HR Mechanical Services Limited	(169,315)	-	(25,606)	(194,921)	205,687	(9,641)	1,125

Differences in accounting policies between the Parent Group and its subsidiaries have been adjusted on the above Summarized cash flows, but intergroup transactions have not been eliminated.

(6) Details of non-wholly owned subsidiaries of the Group that have material non-controlling interests as of and for the year ended December 31, 2025 are as follows.

(in thousands of Korean won)	2025										
	Non-controlling interest(%)		**Beginning Cumulated Non-controlling interest**		**Net profit or loss attributable to non-controlling interests**		**Losses on foreign currency translation of foreign operations allocated to non-controlling interests**		**Others**		**Ending Cumulated Non-controlling interest**
Hyundai EURotem Demiryolu Araclari Sanayi ve Ticaret A.S	49.5	₩	(34,398,541)	₩	(967,542)	₩	(3,206,041)	₩	794,913	₩	(37,777,211)

(7) Details of non-wholly owned subsidiaries of the Group that have material non-controlling interests as of and for the year ended December 31, 2024 are as follows.

(in thousands of Korean won)	2024										
	Non-controlling interest(%)		**Beginning Cumulated Non-controlling interest**		**Net profit or loss attributable to non-controlling interests**		**Losses on foreign currency translation of foreign operations allocated to non-controlling interests**		**Others**		**Ending Cumulated Non-controlling interest**
Hyundai EURotem Demiryolu Araclari Sanayi ve Ticaret A.S	49.5	₩	(31,300,412)	₩	(1,624,448)	₩	(1,995,169)	₩	521,488	₩	(34,398,541)

2. Basis of Preparation

The consolidated financial statements have been prepared in accordance with Korean International Financial Reporting Standards (“K-IFRS”), as prescribed in the Act on External Audit of Stock Companies in the Republic of Korea. The accompanying consolidated financial statements have been translated into English from Korean consolidated financial statements. In the event of any differences in interpreting the consolidated financial statements or the independent auditor’s report thereon, Korean version, which is used for regulatory reporting purposes, shall prevail.

2.1 Basis of measurement

The consolidated financial statements are based on historical costs, except for the major items in the consolidated statements of financial position listed below.

① Certain property, plant and equipment that are measured at their fair value
② Derivative Instruments measured at fair value
③ Financial assets measured at fair value through profit or loss
④ Financial assets measured at fair value through other comprehensive income
⑤ Liabilities for defined benefit plans are recognized at the net of total present value of defined benefit obligations less the fair value of planned assets

2.2 Foreign currency translation

The consolidated financial statements of the Group are presented in the currency of the primary economic environment in which the entity operates (its functional currency). For the purpose of the consolidated financial statements, the results of operations and financial position of the Group are expressed in Korean won, which is the functional currency of the entity and the presentation currency for the consolidated financial statements.

2.3 Changes in accounting policies and disclosures

(1) Adoption of new or amended standards

Effective January 1, 2025, the Group applied new and amended standards and interpretations, including amendments to K-IFRS 1021, The Effects of Changes in Foreign Exchange Rates, and K-IFRS 1101, First-time Adoption of Korean International Financial Reporting Standards — Lack of Exchangeability. The amendments require an entity to assess whether a currency is exchangeable into another currency, estimate the spot exchange rate when a currency is not exchangeable and disclose related information. The amendments did not have a material impact on the Group's consolidated financial statements.

(2) Published standards that are not yet effective

A number of new standards are effective for annual periods beginning after January 1, 2025 and earlier application is permitted; however, the Group has not early adopted them in preparing these consolidated financial statements.

The Group is currently evaluating the effect of the following new or amended standards and interpretations, if any, to the consolidated financial statements, however, those standards are not expected to have a material impact on the Group's consolidated financial statements.

- K-IFRS 1109 'Financial Instruments' and K-IFRS 1107 'Financial Instruments: Disclosures'
- Annual Improvements-Volume 11
- K-IFRS 1118 'Presentation and Disclosure in Financial Statements'

In addition, the consolidated financial statements as of and for the year ended on December 31, 2025 were authorized for issuance at the Board of Directors' meeting held on January 30, 2026, and are expected to be submitted to the shareholders' meeting on March 27, 2026.

2.4 Material accounting policies

The material accounting policies applied by the Group in preparation of its consolidated financial statements are included below. Except for the changes in accounting policies described in Note 2.3, the accounting policies have been consistently applied in preparing the accompanying consolidated financial statements for both periods presented.

(1) Basis of consolidation

a) Non-controlling interests

Non-controlling interests are measured as a proportional share of the current equity among recognized acquiree's identifiable net assets at the acquisition date.

b) Intra-group transactions

Intra-group balances and transactions, and any unrealized gains and losses resulting from intra-group transactions, are eliminated in preparing the consolidated financial statements. Meanwhile, the Group is eliminating its share of unrealized gains arising from transactions with the investment in associate under the equity method, and unrealized losses are eliminated in the same manner as unrealized gains if there is no evidence of impairment.

c) Affiliated companies

An affiliated company is an entity whose consolidated company has significant influence, and the investment in the affiliated company is initially recognized as an acquisition cost and then the equity method is applied. Unrealized gains from transactions between the consolidated company and its affiliates are eliminated by the portion corresponding to the consolidated company's shares in the affiliates. In addition, if there are signs of objective impairment to the investment of the affiliates, the difference between the recoverable amount of the investment and the carrying amount of the affiliates is recognized as an impairment loss. When a consolidated company uses the financial statements of its affiliates to apply the equity method, it examines whether the same accounting policy as the consolidated company applies to the same transactions or events that have occurred under similar circumstances and adjusts the financial statements of the affiliates if necessary.

(2) Cash and Cash Equivalents

The Group classifies investment assets with a maturity of three months or less from the acquisition date as cash and cash equivalents.

(3) Inventories

Inventories are stated at the lower of cost and net realizable value. Cost is determined using average cost method, except the goods-in-transits. This includes expenditures incurred in acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their existing location and condition.

(4) Non-derivative Financial Assets

a) Classification

The classification depends on the Group's business model for managing the financial assets and the contractual terms of the cash flows.

For financial assets measured at fair value, gains and losses will either be recorded in profit or loss or other comprehensive income. For investments in debt instruments, this will depend on the business model in which the investment is held. The Group reclassifies debt investments when, and only when its business model for managing those assets changes.

For investments in equity instruments that are not held for trading, this will depend on whether the Group has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income. Changes in fair value of non-designated equity investment are recognized in profit or loss.

b) Measurement

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss. Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

A. Debt instruments

Subsequent measurement of debt instruments depends on the Group's business model for managing the asset and the cash flow characteristics of the asset. The Group classifies its debt instruments into one of the following three measurement categories:

- Amortized cost: Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortized cost. A gain or loss on a debt investment that is subsequently measured at amortized cost and is not part of a hedging relationship is recognized in profit or loss when the asset is derecognized or impaired. Interest income from these financial assets is included in 'finance income' using the effective interest rate method.

- Fair value through other comprehensive income: Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at fair value through other comprehensive income. Changes in the carrying amount are taken through other comprehensive income, except for the recognition of impairment loss (reversal of impairment loss), interest income and foreign exchange gains and losses which are recognized in profit or loss. When the financial asset is derecognized, the cumulative gain or loss previously recognized in other comprehensive income is reclassified from equity to profit or loss. Interest income from these financial assets is included in 'finance income' using the effective interest rate method. Foreign exchange gains and losses are presented in 'other income or expenses' and impairment losses are presented in 'other expenses'.

- Fair value through profit or loss: Assets that do not meet the criteria for amortized cost or fair value through other comprehensive income are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognized in profit or loss and presented net in the statement of profit or loss within 'other income or expenses' in the year in which it arises.

B. Equity instruments

The Group subsequently measures all equity investments at fair value. Where the Group's management has elected to present fair value gains and losses on equity investments, which held for long-term investment or strategic purpose, in other comprehensive income, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investment. Dividend income from such investments continue to be recognized in profit or loss as 'finance income' when the right to receive payments is established.

Changes in the fair value of financial assets at fair value through profit or loss are recognized in 'other income and expenses' in the statement of profit or loss as applicable. Impairment loss (reversal of impairment loss) on equity investments measured at fair value through other comprehensive income are not reported separately from other changes in fair value.

c) Impairment

The Group assesses on a forward-looking basis the expected credit losses ("ECLs") associated with its debt instruments carried at amortized cost and fair value through other comprehensive income. The impairment methodology applied depends on whether there has been a significant increase in credit risk. For trade receivables, contract assets, and lease assets, the Group applies a simplified approach in calculating ECLs.

d) Recognition and Derecognition

Purchases and sales of financial assets in the ordinary course of business are recognized or derecognized on trade-date, the date on which the Group commits to purchase or sell the asset. Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group has transferred substantially all the risks and rewards of ownership.

If a transfer does not result in derecognition because the Group has retained substantially all the risks and rewards of ownership of the transferred asset, the Group continues to recognize the transferred asset in its entirety and recognizes a financial liability for the consideration received. The Group classified the financial liability as "borrowings" in the statement of financial position.

(e) Offsetting of financial instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position where there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the assets and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Group or the counterparty.

(5) Derivative Instruments

Please refer to Note 35 for information on accounting policies and risk management activities for derivative instruments.

(6) Property, Plant and Equipment

Land is subsequently measured at a revalued amount, which is the fair value at the date of revaluation less any accumulated impairment losses after the revaluation, and this amount is recognized as the carrying amount. Revaluations are performed with sufficient regularity at the end of the reporting period to ensure that the carrying amount of the asset does not differ materially from its fair value.

Increases in the carrying amount of net of tax arising on revaluation of land are credited to other comprehensive income and shown as revaluation surplus in equity. However, the increase shall be recognized in profit or loss to the extent that it reverses a revaluation decrease of the same asset previously recognized in profit or loss. Decreases that offset previous increases of the same asset are charged to other comprehensive income and debited against the revaluation surplus directly; all other decreases are charged to the statement of comprehensive income.

Property, plant and equipment, except for land, are depreciated on a straight-line basis over estimated useful lives that appropriately reflect the pattern in which the asset's future economic benefits are expected to be consumed. A component that is significant compared to the total cost of property, plant and equipment is depreciated over its estimated useful life.

The estimated useful lives of the Group's property, plant and equipment are as follows:

Category	**Useful life**
Buildings and structures	5-50 years
Machinery	3-30 years
Vehicles	4-10 years
Tools and equipment	1-16 years
Office equipment	3-20 years

(7) Intangible assets

Intangible assets are initially recognized at its historical cost and carried at cost less accumulated amortization and accumulated impairment losses.

Development costs that are directly attributable to internally generated by the Group are recognized when the criteria such as technically feasible, generate probable future economic benefits and other are met. Membership rights that have an indefinite useful life are not subject to amortization because there is no foreseeable limit to the period over which the assets are expected to be utilized. The Group amortizes intangible assets with a limited useful life using the straight-line method over the following periods:

Category	**Useful life**
Development costs	5 -10 years
Industrial property rights	5 years
Software	5 years

The Group generally recognizes intangible assets as development costs based on the asset recognition criteria when the new development projects are assessed to be directly associated with obtaining a contract with a customer. The other expenditures not meeting the asset recognition criteria are recognized as expenses within research and development expenses.

(8) Investment Property

An investment property is measured initially at its costs including acquisition costs. Subsequent to the initial recognition, investment property is measured at cost less accumulated depreciation and any accumulated impairment losses.

(9) Lease

a) As a lessor

When the Group acted as a lessor, it determined at lease inception whether each lease was a finance lease or an operating lease.

To classify each lease, the Group made an overall assessment of whether the lease transferred substantially all of the risks and rewards incidental to ownership of the underlying asset. As one of these indicators, we consider whether the lease period accounts for a significant portion of the economic useful life of the underlying asset.

The Group presents lease payments received from operating leases as part of other income and recognizes them as revenue on a straight-line basis over the lease term.

b) As a lessee

At inception or effective date of change, the Group allocates the consideration in the contract to each lease on the basis of their relative stand-alone prices. However, for leases of properties in which it is a lessee, the Group has elected not to separate non-lease components and will instead account for the lease and non-lease components as a single lease component.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date. Generally, the Group uses its incremental borrowing rate as the discount rate. The Group uses the corporate bond yield, considering the Group's credit rating, as the incremental borrowing rate.

Payments associated with short-term leases of equipment and vehicles and leases of low-value assets are recognized on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less. Low value assets comprise IT equipment and others.

(10) Employee Benefits

a) Retirement benefits

The calculation of defined benefit liabilities is performed annually by a qualified actuary using the projected unit credit method.

Contributions to defined contribution retirement benefit plans are recognized as an expense when employees provide services that entitle them to payment.

b) Long-term employee benefits

The Group provides long-term employee benefits that are entitled to employees with long-term service period. The expected costs of these benefits are accrued over the period of employment using the same accounting methodology as used for defined benefit pension plans. The Group recognizes service cost, net interest on long-term employee benefits and remeasurements as profit or loss for the year. These liabilities are valued annually by an independent qualified actuary.

(11) Revenue Recognition

(a) Identification of performance obligations

The Group identifies the performance obligation in the contract with customers. Different performance obligation shall be identified if customer benefits from goods or service or customer benefits from goods or service with other resources that are readily available and promise to customer to transfer goods or service is separately identified from another promise within a contract.

(b) A performance obligation satisfied over time

The Group recognizes revenue over time as performance of the Group creates or enhances an asset that the customer controls as the asset is created or enhanced or performance of the Group does not create an asset with an alternative use to the Group and the Group has an enforceable right to payment for performance completed to date.

(c) Progress measurement using input method

The Group recognizes performance obligations satisfied over time based on percentage of completion by input method after excluding the effects of any inputs that do not depict the performance. In addition, if the Group may not be able to reasonably measure the outcome of a performance obligation, but the Group expects to recover the cost incurred in satisfying the performance obligation, the Group will recognize revenue only to the extent of the costs incurred until such time that it can reasonably measure the outcome of the performance obligation.

Meanwhile, a faithful depiction of the Group's performance might be to recognize revenue at an amount equal to the cost of goods used to satisfy a performance obligation if the Group expects at contract inception that all of the following conditions would be met: i) the goods are not distinct; ii) the customer is expected to obtain control of the goods significantly before receiving services related to the goods; iii) the cost of the transferred goods is significant relative to the total expected costs to completely satisfy the performance obligation; and iv) the Group procures the goods from a third party and is not significantly involved in designing and manufacturing the goods.

When contract costs incurred to date plus recognized profits less recognized losses exceed progress billing, the surplus is shown as amounts due from customers for contract work. For contracts where progress billings exceed contract costs incurred to date plus recognized profits less recognized losses, the surplus is shown as the amounts due to customers for contract work. Amounts received before the related work is performed are included in the statements of financial position, as a liability, as advances received. Amounts billed for work performed but not yet paid by the customer are included in the statements of financial position under trade and other receivables.

The Group recognizes other income when the amount of revenue can be reasonably measured and it is probable that any future economic benefit associated with the item of revenue will flow to the entity.

(d) Variable consideration

The Group estimates variable consideration using either the expected value or the most likely amount, whichever better predicts the amount of consideration to which the Group will be entitled. The Group recognizes variable consideration only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is subsequently resolved.

(e) Incremental costs of obtaining a contract

Incremental costs of obtaining a contract are costs that the Group incurs to obtain a contract with a customer and that it would not have incurred if the contract had not been obtained. The costs to obtain a contract will be recognized as an expense when incurred, unless those costs are explicitly chargeable to the customer regardless of whether the contract is obtained. The Group reviews the incremental costs of obtaining a contract based on each incurred items and recognizes the capitalized costs as contract cost based on percentage of completion.

(f) Costs to fulfill a contract

If the costs incurred in fulfilling a contract with a customer are not within the scope of another standard (i.e. K-IFRS 1002 Inventories, K-IFRS 1016 Property, Plant and Equipment or K-IFRS 1038 Intangible Assets), the Group shall recognize an asset for contract fulfillment costs if they meet all of the following conditions:

- Relate directly to a contract or to an anticipated contract
- Generate or enhance resources of the entity that will be used in satisfying performance obligations in the future
- Are expected to be recovered

(12) Current and Deferred Income Tax

The Global Minimum Tax payable under the Pillar 2 Model Rules is a corporate tax subject to the application of K-IFRS 1012 'Income Taxes'. The Group applied temporary relaxation of its obligation to account for deferred tax due to the impact of the global minimum tax and treated it as current corporate tax at the time of occurrence.

3. Material Accounting Estimates and Assumptions

The preparation of these consolidated financial statements requires the Group to make estimates and assumptions concerning the future. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. Additional information on significant judgments and estimates of certain items is described in the relevant notes.

(1) Construction contract

Revenue related to a construction contract is recognized using the input method. The input method is measured by reference to the contract costs as a percentage of total estimated costs for each contract.

a) Uncertainty of the estimated total contract revenue

Total contract revenue is measured based on contractual amount initially agreed. The contract revenue can be increased by additional contract work, claims and incentive payments in the course of construction, or decreased by the penalty when the completion of contract is delayed due to the Group's fault. Therefore, this measurement of contract revenue is affected by the uncertainty of the occurrence of future events. The change in contract revenue is recognized when it is probable that the customer will approve the increase in revenue due to the changes in contract work, or when it is probable that the Group will be able to satisfy the performance requirements, and the amount can be estimated reliably.

The measurement of contract revenue is affected by the uncertainty of the occurrence of future events. The contract revenue can be decreased by the claims of liquidated damages when the completion of contract is delayed due to the Group's fault. Therefore, the delay damage claims are estimated based on historical experience in case that the completion date is expected to be delayed.

b) Uncertainty of the estimated total contract costs

Construction revenue is recognized according to the percentage of completion, which is measured on the basis of the cost incurred to date. Total contract costs are estimated based on future estimates of material costs, labor costs, construction period and other factors.

c) Provision for construction loss and provision for construction warranties

When it is probable that estimated total contract costs will exceed the total contract revenue, the expected loss is recognized as an expense. The amount recognized as a provision for construction warranties shall be the best estimates based on historical experiences.

(2) Income taxes

The Group's income taxes on its taxable income from operating activities are subject to various tax laws and determinations of each tax authority across various countries throughout the world, so there is uncertainty in determining the ultimate tax effects on the taxable income from operating activities.

If a certain portion of the taxable income is not used for investments, increases in wages or others, the Group is liable to pay additional income tax calculated based on the tax laws. Accordingly, the measurement of current and deferred income taxes is affected by these tax effects. As the Group's income tax is dependent on investments, increases in wages, and others, there is an uncertainty measuring the final tax effects.

(3) Fair value of financial instruments

The fair value of financial instruments that are not traded in an active market is determined by using a variety of methods and assumptions that are mainly based on market conditions existing at the end of each reporting period.

(4) Impairment of financial assets

The provision for impairment for financial assets are based on assumptions about risk of default and expected loss rates. The Group uses judgement in making these assumptions and selecting the inputs to the impairment calculation based on its past history, existing market conditions as well as forward looking estimates at the end of the reporting period.

(5) Net defined benefit liability

The present value of net defined benefit liability and long-term employee benefits depends on a number of factors that are determined on an actuarial basis using a number of assumptions including the discount rate.

(6) Lease

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated).

For leases of warehouses and equipment, the following factors are normally the most relevant:

- If there are significant penalties to terminate (or not extend), the Group is typically reasonably certain to extend (or not terminate).
- If any leasehold improvements are expected to have a significant remaining value, the Group is typically reasonably certain to extend (or not terminate).

Most extension options in offices and vehicles leases have not been included in the lease liability, because the Group could replace the assets without significant cost or business disruption.

The lease term is reassessed if an option is actually exercised (or not exercised) or the Group becomes obliged to exercise (or not exercise) it. The assessment of reasonable certainty is only revised if a significant event or a significant change in circumstances occurs, which affects this assessment, and that is within the control of the lessee.

4. <u>Cash and Cash Equivalents</u>

(1) Cash and cash equivalents as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025		2024	
Deposits on Demand	₩	75,139,413	₩	112,147,689
Deposits at financial instiutions[1]		833,274,668		360,110,650
	₩	908,414,081	₩	472,258,339

[1] Deposits at financial institutions include financial instruments with maturity of three months or less at the time of acquisition.

(2) Financial assets with withdrawal restrictions as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	Financial institutions	2025		2024		Description
Cash and cash equivalents	Shinhan Bank India	₩	49,153	₩	57,688	Collateralized for tariff
Other financial instruments	Hana Bank		217,317		169,413	Government sponsored project deposit
	Industrial Bank of Korea and others		35,000,000		22,200,000	Corporate partnership fund
	Citibank, N.A.		860,940		-	L/C opening deposit
	Hana Bank		7,586		189,220	Establishment of warranty-related pledges
Long-term other receivables	Hana Bank		2,000		2,000	Guarantee deposit for checking accounts
		₩	36,136,996	₩	22,618,321	

5. Trade Receivables and Contract Assets

(1) Trade receivables, contract assets, and their provisions for impairment of trade receivables and contract assets as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Current				
Trade receivables	₩	3,393,220,268	₩	913,593,098
Less: provision for impairment of trade receivables		(1,278,010)		(4,223,356)
Contract assets		1,015,661,879		809,033,732
Less: provision for impairment of contract assets		(2,719,030)		(6,895,903)
	₩	4,404,885,107	₩	1,711,507,571
Non-current				
Long-term trade receivables	₩	36,859,097	₩	66,817,118
Less: provision for impairment of trade receivables		(6,855,474)		(6,443,143)
Less: Present value discounts		(527,220)		(1,145,695)
	₩	29,476,403	₩	59,228,280

(2) Changes in the provision for impairment of trade receivables and contract assets for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025				2024		
		Trade receivables	Long-term trade receivables	Contract assets		Trade receivables	Long-term trade receivables	Contract assets
Beginning balance	₩	4,223,356	6,443,143	6,895,903	₩	5,220,288	5,005,615	4,213,942
Impairment loss(Reversal)		(1,805,004)	(1,129,785)	(717,154)		(2,745,191)	1,437,528	4,508,602
Write-off		(1,008,153)	-	(3,066,118)		-	-	-
Other		63,537	952,788	-		(78,382)	-	-
Transfer		(195,726)	589,328	(393,601)		1,826,641	-	(1,826,641)
Ending balance	₩	1,278,010	6,855,474	2,719,030	₩	4,223,356	6,443,143	6,895,903

(3) The details of impaired receivables of trade receivables and contract assets as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025			
	Trade receivables	**Long-term trade receivables**	**Contract assets**	**Total**
Receivables not past due or impaired	₩ 3,392,532,604	29,605,846	1,007,748,994	4,429,887,444
Impaired[1]	687,664	7,253,251	7,912,885	15,853,800
	₩ 3,393,220,268	36,859,097	1,015,661,879	4,445,741,244

(in thousands of Korean won)	2024			
	Trade receivables	**Long-term trade receivables**	**Contract assets**	**Total**
Receivables not past due or impaired	₩ 910,345,619	59,544,008	798,840,020	1,768,729,647
Impaired[1]	3,247,479	7,273,110	10,193,712	20,714,301
	₩ 913,593,098	66,817,118	809,033,732	1,789,443,948

[1] The provision for impaired receivables amounts to ₩8,852,084 thousand as of December 31, 2025 (2024: ₩15,163,137 thousand).

6. Other Receivables

Details of other receivables as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025	2024
Current		
Non-trade receivables	₩ 45,963,086	₩ 56,230,449
Less: provision for impairment	(200,000)	(536,939)
Deposits	184,038	73,840
	₩ 45,947,124	₩ 55,767,350
Non-current		
Long-term deposits	₩ 11,204,073	₩ 11,099,126
Less: Present value discounts	(496,266)	(622,979)
Long-term guarantee deposits	6,089,905	6,166,943
	₩ 16,797,712	₩ 16,643,090

7. Other Financial Assets

(1) Details of other financial assets as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Current				
Short-term financial instruments	₩	367,063,870	₩	272,625,444
Short-term derivative instruments		-		21,381,528
Short-term loans		1,525,857		4,211,201
	₩	368,589,727	₩	298,218,173
Non-current				
Financial assets at fair value through profit or loss		49,237,534		46,504,815
Long-term loans		9,520,968		7,242,670
Long-term financial instruments		16,879,106		189,220
	₩	75,637,608	₩	53,936,705

(2) Financial assets at fair value through profit or loss

(i) Financial assets at fair value through profit or loss include the following classes of financial assets:

(in thousands of Korean won)		2025		2024
Investments in partnerships	₩	34,064,809	₩	33,462,402
Unlisted equity fund[1]		9,843,213		9,973,103
Beneficiary certificate		5,329,512		3,069,310
	₩	49,237,534	₩	46,504,815

[1] In relation to borrowings of Dongbuk Line Urban Railway Co., Ltd., the shares of the Group held by the consolidated entity have been pledged as collateral.

(ii) Amounts recognized in profit or loss

(in thousands of Korean won)		2025		2024
Gain on valuation of financial assets at fair value through profit or loss	₩	322,576	₩	246,722
Loss on valuation of financial assets at fair value through profit or loss		(191,604)		(1,484,997)
Loss on disposal of financial assets at fair value through profit or loss		(35,198)		(15,403)
Dividend income		153,119		155,395
	₩	248,893	₩	(1,098,283)

(3) Financial assets at fair value through other comprehensive income

Amounts recognized as other components of equity (accumulated other comprehensive income)

(in thousands of Korean won)		2025		2024
Beginning balance	₩	(3,106,760)	₩	(2,827,201)
Gain on valuation of financial assets at fair value through other comprehensive income[1]		125,736		-
Transfer of amount recognised in other comprehensive income and accumulated in equity relating to disposal of investments in equity		-		(279,559)
Ending balance	₩	(2,981,024)	₩	(3,106,760)

[1] This represents the increase (decrease) resulting from changes in the corporate tax rate.

8. Inventories

Details of inventories as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Raw materials[1]	₩	410,045,496	₩	235,470,128
Work in process		14,701,668		28,026,816
Semi-finished products		139,217		775,960
Material in transit		78,083,987		51,362,956
	₩	502,970,368	₩	315,635,860

[1] The provision for valuation of inventories as of December 31, 2025 amounts to ₩ 3,951,964 thousand (2024: ₩ 3,545,906 thousand).

9. Other Assets

Details of other assets as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Current				
Accrued income	₩	287,865	₩	131,009
Advance payments		912,804,917		814,572,999
Prepaid expenses		17,700,713		17,121,032
	₩	930,793,495	₩	831,825,040
Non-current				
Advance payments	₩	4,026,924	₩	15,627,702
Prepaid expenses		15,288,202		2,671,376
Assets not in use		262,057		280,773
	₩	19,577,183	₩	18,579,851

10. Property, Plant and Equipment

(1) Details of property, plant and equipment as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025							
		Acquisition cost		Accumulated depreciation		Government grants		Book amount
Land	₩	1,298,241,649	₩	-	₩	-	₩	1,298,241,649
Buildings		403,021,710		(133,733,034)		(1,792,550)		267,496,126
Structures		98,820,328		(36,515,384)		-		62,304,944
Machinery		325,812,309		(234,687,084)		(253,101)		90,872,124
Vehicles		10,732,186		(7,746,612)		-		2,985,574
Tools and equipment		101,540,458		(68,557,427)		(1,719)		32,981,312
Office equipment		53,720,562		(30,926,435)		(102,158)		22,691,969
Construction in progress		40,693,726		-		-		40,693,726
Machinery in transit		1,650,439		-		-		1,650,439
	₩	2,334,233,367	₩	(512,165,976)	₩	(2,149,528)	₩	1,819,917,863

(in thousands of Korean won)	**2024**			
	Acquisition cost	**Accumulated depreciation**	**Government grants**	**Book amount**
Land	₩ 815,429,684	₩ -	₩ -	₩ 815,429,684
Buildings	319,522,547	(127,885,024)	(1,852,299)	189,785,224
Structures	94,032,970	(34,406,096)	-	59,626,874
Machinery	310,533,728	(231,394,257)	(294,491)	78,844,980
Vehicles	10,118,497	(6,921,468)	-	3,197,029
Tools and equipment	95,460,544	(67,364,454)	(2,000)	28,094,090
Office equipment	89,335,803	(74,133,440)	(71,513)	15,130,850
Construction in progress	101,918,925	-	-	101,918,925
Machinery in transit	2,286	-	-	2,286
	₩ 1,836,354,984	₩ (542,104,739)	₩ (2,220,303)	₩ 1,292,029,942

(2) Changes in property, plant and equipment for the years ended December 31, 2025and 2024 are as follows:

(in thousands of Korean won)	**2025**							
	Beginning balance	**Acquisition**	**Transfer**	**Disposal**	**Revaluation surplus[1]**	**Depreciation**	**Others[2]**	**Ending balance**
Land	₩ 815,429,684	45,596,052	22,180,652	(20,501,432)	436,438,857	-	(902,164)	1,298,241,649
Buildings	189,785,224	61,902,953	89,117,588	(48,414,784)	-	(9,558,372)	(15,336,483)	267,496,126
Structures	59,626,874	1,246,094	4,601,156	-	-	(2,368,310)	(800,870)	62,304,944
Machinery	78,844,980	6,730,576	14,805,889	(130,460)	-	(8,869,433)	(509,428)	90,872,124
Vehicles	3,197,029	1,011,629	-	(192,416)	-	(1,102,648)	71,980	2,985,574
Tools and equipment	28,094,090	5,746,496	3,343,976	(41,952)	-	(4,178,636)	17,338	32,981,312
Office equipment	15,130,850	10,916,952	1,780,458	(82,137)	-	(5,228,254)	174,100	22,691,969
Construction in progress	101,918,925	63,033,207	(123,075,928)	(66,750)	-	-	(1,115,728)	40,693,726
Machinery in transit	2,286	14,401,944	(12,753,791)	-	-	-	-	1,650,439
	₩ 1,292,029,942	210,585,903	-	(69,429,931)	436,438,857	(31,305,653)	(18,401,255)	1,819,917,863

(in thousands of Korean won)	2024						
	Beginning balance	**Acquisition**	**Transfer**	**Disposal**	**Depreciation**	**Other[2]**	**Ending balance**
Land	₩ 815,529,728	-	-	-	-	(100,044)	815,429,684
Buildings	187,845,427	1,975,733	8,915,865	-	(7,964,651)	(987,150)	189,785,224
Structures	57,958,848	295,277	3,643,819	-	(2,275,678)	4,608	59,626,874
Machinery	71,796,862	7,731,987	7,496,661	(227,106)	(7,757,919)	(195,505)	78,844,980
Vehicles	3,331,123	854,508	14,615	(203)	(1,033,692)	30,678	3,197,029
Tools and equipment	24,831,705	4,446,031	2,420,792	(26,449)	(3,548,066)	(29,923)	28,094,090
Office equipment	11,028,975	6,833,628	1,098,901	(4,479)	(3,582,692)	(243,483)	15,130,850
Construction in progress	62,038,590	58,612,584	(20,143,348)	-	-	1,411,099	101,918,925
Machinery in transit	2,291	3,447,300	(3,447,305)	-	-	-	2,286
	₩ 1,234,363,549	84,197,048	-	(258,237)	(26,162,698)	(109,720)	1,292,029,942

[1] This is the increase resulting from applying the revaluation model to land in the current period.

[2] Others include the effect of foreign exchange differences and transfers to other accounts.

Depreciation expense of ₩ 27,563,269 thousand (2024: ₩ 23,794,992thousand) and ₩ 3,742,385 thousand (2024: ₩ 2,367,706 thousand) was charged to 'cost of sales' and 'selling and administrative expenses', respectively.

(3) Details of pledged as collateral

The Group has pledged part of land, buildings, and others as collateral for the borrowings with a limit of ₩ 174,999,500 thousand and USD 120 million. (Note 37)

(4) The Group applies the revaluation model to land classified as property, plant and equipment and revalued such land as of June 30, 2025 using appraised values determined by an external independent and professionally qualified valuation specialist.

Fair value of land is determined by reference to Officially Assessed Reference Land Price ("OARLP"), announced by the Ministry of Land, recent market transactions of similar and recently sold parcels nearby the subject land, along with other considerations such as rate of changes in land value, producer price index, location, and other considerations.

The carrying amount of land based on the revaluation model and the amount that would have been reported under the cost model are as follows.

(in thousands of Korean won)	**Revaluation model**	**Cost model**
Land	₩ 1,298,241,649	₩ 548,480,131

The cumulative amount of revaluation surplus recognized in other comprehensive income up to the end of the current period due to the above land revaluation is 571,031,737 thousand won (net of tax effects). (Note 24)

11. Investment Property

(1) Investment property as of December 31, 2025 and 2024, consists of:

(in thousands of Korean won)			2025			2024	
			Acquisition cost	Book amount		Acquisition cost	Book amount
Investment property	Land	₩	13,293,393	13,275,122	₩	9,974,553	9,974,553
	Buildings	₩	16,074,146	15,854,362	₩	-	-
			29,367,539	29,129,484		9,974,553	9,974,553

(2) Changes in investment property for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025						
	Beginning balance	Acquisition	Disposal	Transfer[1]	Depreciation	Others	Ending balance
Land	₩ 9,974,553	-	-	3,231,396	-	69,173	13,275,122
Buildings	₩ -	-	-	15,652,260	(129,319)	331,421	15,854,362
	9,974,553	-	-	18,883,656	(129,319)	400,594	29,129,484

[1] The property was reclassified from property, plant and equipment to investment property due to a change in its use.

(in thousands of Korean won)	2024				
	Beginning balance	Acquisition	Disposal	Transfer	Ending balance
Land	₩ 9,974,553	-	-	-	9,974,553

(3) As of the end of the current period, the fair value of investment property is as follows

(in thousands of Korean won)		2025
Land	₩	13,275,122
Buildings	₩	19,803,607

The consolidated entity accounts for investment property using the cost model. The fair value of the investment property was appraised as of June 30, 2025 by an independent qualified appraiser with recent experience in valuing similar properties in the same location as the subject investment property.

(4) Rental income and net direct operating expenses arising from investment property are as follows

(in thousands of Korean won)		2025
Rental income	₩	349,447
Operating and maintenance expenses	₩	342,423

12. Right-of-use assets

Changes in right-of-use assets for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025							
		Beginning balance	Acquisition	Disposal	Accumulated depreciation	Foreign exchange differences	Others[1]	Ending balance
Property	₩	23,210,403	6,403,678	(863,416)	(5,883,394)	56,019	(4,060,630)	18,862,660
Vehicles		2,865,120	2,758,463	(71,130)	(2,286,843)	(24,631)	-	3,240,979
	₩	26,075,523	9,162,141	(934,546)	(8,170,237)	31,388	(4,060,630)	22,103,639

(in thousands of Korean won)	2024							
		Beginning balance	Acquisition	Disposal	Accumulated depreciation	Foreign exchange differences	Others[1]	Ending balance
Property	₩	12,192,190	14,493,035	(1,708,482)	(4,590,060)	9,368	2,814,352	23,210,403
Vehicles		1,734,237	3,202,118	(256,937)	(1,813,281)	(1,017)	-	2,865,120
	₩	13,926,427	17,695,153	(1,965,419)	(6,403,341)	8,351	2,814,352	26,075,523

[1] Others represent the remeasurement to reflect changes in lease payments and lease modifications.

13. Intangible Assets

(1) Details of intangible assets as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025				
		Acquisition cost	Accumulated amortization[1]	Government grants	Book amount
Development costs	₩	296,300,925	(224,429,180)	(11,883,820)	59,987,925
Industrial property rights		1,494,134	(1,305,826)	-	188,308
Software		78,611,412	(54,559,393)	-	24,052,019
Other intangible assets		26,812,647	-	-	26,812,647
	₩	403,219,118	(280,294,399)	(11,883,820)	111,040,899

(in thousands of Korean won)	2024				
		Acquisition cost	Accumulated amortization[1]	Government grants	Book amount
Development costs	₩	274,902,692	(208,110,034)	(14,825,670)	51,966,988
Industrial property rights		1,415,924	(1,227,866)	-	188,058
Software		72,433,008	(47,213,171)	-	25,219,837
Other intangible assets		26,768,779	-	-	26,768,779
	₩	375,520,403	(256,551,071)	(14,825,670)	104,143,662

[1] Accumulated impairment losses are included.

(2) Changes in intangible assets for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025					
		Beginning balance	Acquisition	depreciation	Others[1]	Ending balance
Development costs	₩	51,966,988	21,884,734	(12,572,817)	(1,290,980)	59,987,925
Industrial property rights		188,058	78,210	(77,960)	-	188,308
Software		25,219,837	6,090,063	(7,326,164)	68,283	24,052,019
Other intangible assets		26,768,779	43,868	-	-	26,812,647
	₩	104,143,662	28,096,875	(19,976,941)	(1,222,697)	111,040,899

(in thousands of Korean won)	2024						
		Beginning balance	Acquisition	Disposal	depreciation	Others[1]	Ending balance
Development costs	₩	51,404,895	10,145,937	-	(8,794,968)	(788,876)	51,966,988
Industrial property rights		193,829	68,964	-	(74,735)	-	188,058
Software		17,648,050	12,918,136	-	(5,572,430)	226,081	25,219,837
Other intangible assets		22,884,555	8,321,076	(4,355,995)	-	(80,857)	26,768,779
	₩	92,131,329	31,454,113	(4,355,995)	(14,442,133)	(643,652)	104,143,662

[1] Others include changes in the government grants and transfers.

(3) Amortization of ₩19,958,364 thousand (2024: ₩14,438,627 thousand) is included in 'cost of sales' while that of ₩18,577 thousand (2024: ₩3,507 thousand) is included in 'selling and administrative expense'.

(4) Research and development costs for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Intangible assets (development costs)	₩	21,728,731	₩	10,145,937
Selling and administrative expenses[1]		60,673,117		34,231,112
Cost of sales		138,027,635		152,601,575
	₩	220,429,483	₩	196,978,624

[1] Selling and administrative expenses represent the amount before deducting the government subsidy.

(5) Details of development costs as of December 31, 2025, are as follows:

(in thousands of Korean won)			Carrying amount	Remaining amortization period[1]
Railway project	Developing	₩	3,632,696	-
	Amortizing		27,385,258	71 months
Defense system project	Developing		19,101,367	-
	Amortizing		9,868,604	40 months
	Total	₩	59,987,925	

[1] Upon different remaining amortization period for each project, weighted average is used.

(6) Details of development costs as of December 31, 2024, are as follows:

(in thousands of Korean won)			Carrying amount	Remaining amortization period[1]
Railway project	Developing	₩	3,940,934	-
	Amortizing		33,853,914	77 months
Defense system project	Developing		6,782,473	-
	Amortizing		7,389,667	21 months
	Total	₩	51,966,988	

[1] Upon different remaining amortization period for each project, weighted average is used.

14. Borrowing Costs

Details of borrowing costs for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Capitalized borrowing costs	₩	156,003	₩	625,078
Interests rate of borrowing costs		1.48%		3.58%

15. Investments in Associates

(1) Details of investments in associate as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	Nature of business	Location	Closing month	2025 Percentage of ownership(%)	2025 Acquisition cost	2025 Book amount	2024 Book amount
Hystation Co., Ltd.[1]	Installation and operation of hydrogen charging station	Korea	December 31	11.00	₩ 1,430,000	1,171,993	₩ 1,242,609
					1,430,000	1,171,993	1,242,609

[1] Hystation Co., Ltd were included in the associate as the Group is considered to have significant influence by representation on the board of directors of the investee and other reasons, although the total ownership percentage is less than 20%.

(2) Changes in investments in associates for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Beginning balance	₩	1,242,609	₩	469,232
Acquisition		-		880,000
share of net loss for the period		(70,616)		(106,623)
Ending balance	₩	1,171,993	₩	1,242,609

(3) Summary of financial information of associates as of and for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Statements of financial position				
Current assets	₩	983,530	₩	1,337,625
Non-current assets		9,759,658		10,145,546
Total assets	₩	10,743,188	₩	11,483,171
Current liabilities		84,319		148,013
Non-current liabilities		195,321		229,650
Total liabilities	₩	279,640	₩	377,663
Total equity	₩	10,463,548	₩	11,105,508
Statements of comprehensive income				
Sales	₩	971,358	₩	212,870
Operating loss		(423,000)		(915,593)
Loss for the year		(450,889)		(857,321)
Total comprehensive income (loss)	₩	(450,889)	₩	(857,321)

(4) Reconciliation of the Group's share of net assets of the associates to their carrying amounts as of December 31, 2025 and 2024, are as follows.:

(in thousands of Korean won)		2025		2024
Net assets of associates (A)	₩	10,463,548	₩	11,105,507
Group's share in % (B)		11.00%		11.00%
Group's share in KRW (A x B)		1,150,990		1,221,606
Other		21,003		21,003
Book amount as of year end	₩	1,171,993	₩	1,242,609

16. Borrowings and Debentures

(1) Details of short-term borrowings as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)

	Lender	Annual interest rate (%) December 31, 2025	2025		2024	
Banker's usance	Hana Bank and others	0.70 – 2.51	₩	5,993,977	₩	14,530,777
General loans in Korean won	Hana Bank	CD(3M) + 2.079		1,000,000		-
General loans in foreign currencies	Hana Bank and others	EURIBOR(3M) + 0.9 - 1.5		42,143,000		45,861,900
			₩	49,136,977	₩	60,392,677

(2) Details of long-term borrowings as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)

	Lender	Latest maturity date	Annual interest rate (%) December 31, 2025	2025		2024	
Facility loans	DL E&C Co., Ltd.	2040.02.24	9.13	₩	2,600,000	₩	2,600,000
Foreign currency loans	-	-	-		-		147,000,000
General loans in foreign currencies	Hana Bank and others	2028.12.19	EURIBOR(3M) + 1.7		8,428,600		-
					11,028,600		149,600,000
	Less: Current portion				-		(147,000,000)
				₩	11,028,600	₩	2,600,000

(3) Details of debentures as of December 31, 2025 and 2024 are as follows:

(in thousands of Korean won)

Series	Issue date	Maturity date	Annual interest rate (%) December 31, 2025	2025		2024	
42-2nd non-guaranteed	-	-	-	₩	-	₩	70,000,000
44-1st non-guaranteed	-	-	-		-		23,000,000
44-2nd non-guaranteed	-	-	-		-		22,000,000
45-1st non-guaranteed	2025.11.04	2027.11.04	3.00		25,000,000		-
45-2nd non-guaranteed	2025.11.04	2028.11.03	3.10		25,000,000		-
					50,000,000		115,000,000
	Less: discount on debentures issued				(253,512)		(53,980)
	Book amount				49,746,488		114,946,020
	Less: Current portion				-		(114,946,020)
	Non-current debentures			₩	49,746,488	₩	-

17. Lease Liabilities

(1) Lease liabilities as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Maturity analysis – Undiscounted				
Less than 1 year	₩	7,741,589	₩	7,414,703
Between 1 and 5 years		12,700,541		15,035,723
Over 5 years		7,481,320		10,975,137
Undiscounted lease liabilities	₩	27,923,450	₩	33,425,563
Discounted lease liabilities	₩	22,516,613	₩	26,140,945
Current	₩	6,830,877	₩	6,291,998
Non-current		15,685,736		19,848,947
Discount rate		4.83%		4.89%

(2) Expenses recognized in statements of income for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Interest expenses relating to lease liabilities (Included in finance costs)	₩	1,051,285	₩	884,930
Short-term leases (Included in cost of sales as well as selling and administrative expenses)		1,459,231		2,568,971
Leases of low-value assets (Included in cost of sales as well as selling and administrative expenses)		123,011		144,757

(3) Expenditures including short-term leases and low-value asset leases for the years ended December 31, 2025 and 2024, are ₩ 10,104,449 thousand and ₩ 8,971,773 thousand, respectively.

18. Net Defined Benefit Liabilities

(1) Details of net defined benefit liabilities recognized in the statements of financial position as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Present value of defined benefit obligations	₩	233,533,476	₩	237,613,512
Fair value of plan assets[1]		(262,742,017)		(251,892,426)
	₩	(29,208,541)	₩	(14,278,914)
Net defined benefit liabilities	₩	29,258	₩	220,550
Net defined benefit assets		(29,237,799)		(14,499,464)

[1] Contributions of ₩ 24,828 thousand to the National Pension Fund are included in the fair value of plan assets as of December 31, 2025 (2024: ₩ 33,941 thousand).

(2) Changes in the defined benefit obligations for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Beginning balance	₩	237,613,512	₩	215,383,995
Current service cost		31,324,765		25,443,467
Interest expense		9,016,253		9,370,602
Past service cost		3,488,539		5,285,729
Remeasurements:				
Actuarial loss (gain) from changes in demographic assumptions		(35,012)		(3,745)
Actuarial loss (gain) from changes in financial assumptions		(9,189,196)		8,579,625
Actuarial loss (gain) from experience adjustments		16,292,948		21,875,167
Payments from plans[1]		(54,978,333)		(48,321,328)
Ending balance	₩	233,533,476	₩	237,613,512

[1] The amount includes a reduction resulting from the conversion to a defined contribution plan.

(3) Changes in the fair value of plan assets for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Beginning balance	₩	251,892,426	₩	248,548,147
Interest income		9,994,936		10,943,661
Remeasurements		(305,976)		(1,474,814)
Contributions of employers		49,490,000		39,040,000
Payments from plans[1]		(48,329,369)		(45,164,568)
Ending balance	₩	262,742,017	₩	251,892,426

[1] The amount includes a reduction resulting from the conversion to a defined contribution plan.

(4) Plan assets as of December 31, 2025 and 2024, consist of:

(in thousands of Korean Won)	2025		2024	
	Amount	Composition (in percentage)	Amount	Composition (in percentage)
Time deposits	₩ 2,500,589	0.95	₩ 1,704,739	0.68
Insurance instruments	225,047,625	85.66	240,149,878	95.34
Others	35,193,803	13.39	10,037,809	3.98
	₩ 262,742,017	100.00	₩ 251,892,426	100.00

(5) The significant actuarial assumptions as of December 31, 2025 and 2024, are as follows:

(in percentage)	2025	2024
Discount rate	4.50 %	4.05 %
Salary growth rate	3.63 %	3.61 %

(6) The sensitivity of the defined benefit obligations as of December 31, 2025, to changes in the weighted principal assumptions is as follows:

(in thousands of Korean won and in percentage)	Changes in assumption	Increase in assumption	Decrease in assumption
Discount rate	1.00%	₩ (18,749,319)	₩ 22,084,029
Salary growth rate	1.00%	22,438,374	(19,349,514)

The above sensitivity analyses are based on a change in an assumption while holding all other assumptions constant. The sensitivity of the defined benefit obligation to changes in principal actuarial assumptions is calculated using the projected unit credit method, the same method applied when calculating the net defined benefit obligations recognized on the statement of financial position.

The methods and types of assumptions used in preparing the sensitivity analysis did not change from the prior period.

(7) The Group reviews the funding level on an annual basis and has a policy of eliminating deficit from the fund.

Expected contributions to post-employment benefit plans for the year ended December 31, 2026, is ₩ 28,888,271 thousand.

The maturity analysis of the expected benefit payments as of December 31, 2025, is as follows:

(in thousands of Korean won)	Less than 1 year	Between 2 and 5 years	Between 6 and 10 years	Between 11 and 20 years	Over 20 years
Benefits to be paid	₩ 10,757,921	64,351,959	60,692,929	66,067,374	31,663,293

The weighted average duration of the defined benefit obligation is 9.63 years.

19. Provisions

(1) Details and changes in provision for construction loss for the year ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Beginning balance	₩	54,486,659	₩	39,470,224
Charged		30,092,470		61,106,687
Utilized		(27,192,086)		(46,090,252)
Ending balance	₩	57,387,043	₩	54,486,659

(2) Details and changes in provisions for other liabilities for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025							
		Provision for construction warranties		Provision for long-term employee benefit		Provision for others[1]		Total
Beginning balance	₩	140,191,329	₩	19,243,228	₩	22,400,222	₩	181,834,779
Charged		44,827,919		13,560,506		69,556,163		127,944,588
Utilized		(31,201,616)		(2,082,371)		(17,198,579)		(50,482,566)
Others		(214,911)		54,215		(1,039,056)		(1,199,752)
Ending balance	₩	153,602,721	₩	30,775,578	₩	73,718,750	₩	258,097,049

(in thousands of Korean won)	2024							
		Provision for construction warranties		Provision for long-term employee benefit		Provision for others[1]		Total
Beginning balance	₩	101,929,964	₩	12,711,345	₩	15,079,209	₩	129,720,518
Charged		75,803,513		8,041,143		16,493,232		100,337,888
Utilized		(34,616,045)		(1,532,656)		-		(36,148,701)
Others		(2,926,103)		23,396		(9,172,219)		(12,074,926)
Ending balance	₩	140,191,329	₩	19,243,228	₩	22,400,222	₩	181,834,779

[1] The Group estimated the expenditure in connection with the lawsuit to reserve as provision for others. (Note 37)

20. Other Liabilities

Details of other liabilities as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Current				
Accrued expenses	₩	131,070,887	₩	118,121,164
Withholdings		60,288,641		25,875,377
Deposits received for guarantee		3,169,131		831,023
Advance received		523,648,718		111,285,767
	₩	718,177,377	₩	256,113,331
Non-current				
Accrued expenses	₩	11,243,653	₩	-
Withholdings[1]		23,394,220		20,088,926
	₩	34,637,873	₩	20,088,926

[1] In regard to government-sponsored projects, a portion of the government grants, which require repayment obligation, is classified as non-current withholdings in the consolidated statements of financial position.

21. Fair Value of Financial Instruments by Category

(1) Carrying amount and fair value of financial instruments by category as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025		2024	
	Carrying amount	**Fair value**	**Carrying amount**	**Fair value**
Financial assets				
Financial assets at amortized cost:				
Cash and cash equivalents	₩ 908,414,081	₩ 908,414,081	₩ 472,258,339	₩ 472,258,339
Trade receivables	3,421,418,661	3,421,418,661	968,598,022	968,598,022
Other receivables	30,145,108	30,145,108	30,131,011	30,131,011
Other financial assets	394,989,801	394,989,801	284,268,535	284,268,535
Other assets	4,970,069	4,970,069	21,158,706	21,158,706
Derivative instrument:				
Other financial assets	-	-	21,381,528	21,381,528
Financial assets at fair value through profit or loss:				
Investment in partnership and others	49,237,534	49,237,534	46,504,815	46,504,815
	₩ 4,809,175,254	₩ 4,809,175,254	₩ 1,844,300,956	₩ 1,844,300,956
Financial liabilities				
Financial liabilities at amortized cost:				
Trade payables	₩ 689,346,439	₩ 689,346,439	₩ 431,986,856	₩ 431,986,856
Other payables	96,542,599	96,542,599	82,452,375	82,452,375
Borrowings and debentures	109,912,065	109,302,436	324,938,697	324,902,290
Other current liabilities	7,582,768	7,582,768	5,666,494	5,666,494
Lease liabilities:				
Lease liabilities	22,516,613	22,516,613	26,140,945	26,140,945
	₩ 925,900,484	₩ 925,290,855	₩ 871,185,367	₩ 871,148,960

(2) Gain and loss on each category of financial instruments for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025	2024
Financial assets at fair value through profit or loss:		
Gain on valuation	₩ 322,576	₩ 246,722
Loss on valuation	191,604	1,484,997
Dividend income	153,119	155,395
Loss on disposal	35,198	15,403
Financial assets at amortized cost:		
Interest income	33,033,424	28,054,987
Impairment Loss (Reversal)	(2,934,789)	(1,307,662)
Financial liabilities at amortized cost:		
Interest expenses	6,822,026	15,736,962
Derivative instrument:		
related gains and losses	12,445,482	30,962,944
Lease Liabilities		
Interest expenses	1,051,285	884,930

Net foreign exchange differences amounting to ₩ 18,902,335 thousand and ₩ (17,689,356) thousand for the years ended December 31, 2025 and 2024, respectively, arose from financial assets and liabilities at amortized cost.

(3) Fair Value Hierarchy

Financial instruments that are measured at fair value are categorized by the fair value hierarchy levels, and the defined levels are as follows:

- Quoted prices (unadjusted) in active markets for identical assets or liabilities that an entity can access at the measurement date (Level 1).

- All inputs other than quoted prices included in level 1 that are observable (either directly that is, prices, or indirectly that is, derived from prices) for the asset or liability (Level 2).

- Unobservable inputs for the asset or liability (Level 3).

Fair value hierarchy classifications of the financial instruments that are measured at fair value as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025							
	Level 1		Level 2		Level 3		Total	
Financial assets at fair value through profit or loss	₩	-	₩	-	₩	49,237,534	₩	49,237,534

(in thousands of Korean won)	2024							
	Level 1		Level 2		Level 3		Total	
Financial assets at fair value through profit or loss	₩	-	₩	-	₩	46,504,815	₩	46,504,815
Derivatives assets		-		21,381,528		-		21,381,528

Financial assets at fair value through other comprehensive income and financial assets at fair value through profit or loss that are categorized in Level 3 include equity securities in non-publicly traded entity. Financial assets at fair value through other comprehensive income and financial assets at fair value through profit or loss are assessed by the present value method and net asset value method, respectively. Derivative instruments categorized in Level 2 are assessed by the present value method based on such inputs as discount rate, foreign exchange rate, etc.

(4) Supplier Financing Arrangements

The Group utilizes supplier financing arrangements (Supplier Financing Agreements) in transactions with certain suppliers to efficiently manage its working capital. Under these arrangements, financial institutions make advance payments to suppliers based on the Group's credit, and the Group subsequently repays the financial institutions after a specified period. Amounts paid directly to suppliers by financial institutions under these arrangements are recognized as the Group's borrowings or trade payables.

	Applicable interest rate
Shinhan Bank, Industrial Bank of Korea, etc	0.70% ~ 5.64%

(i) As of the end of the reporting period, the carrying amount of financial liabilities related to supplier financing arrangements and the line items in the statement of financial position in which they are presented are as follows.

(in thousands of Korean won)	2025		2024	
Trade payables, etc.	₩	233,046,143	₩	208,941,891
Of which, the amount paid to suppliers		35,624,470		35,757,176
Borrowings		5,993,977		14,530,777
Of which, the amount paid to suppliers		5,993,977		14,530,777

(ii) The range of payment due dates for trade payables not subject to supplier financing arrangements, which are comparable to the financial liabilities related to the Group's supplier financing arrangements, is as follows.

	Range of payment due dates
Financial liabilities subject to supplier financing arrangements	90 days to 194 days
Comparable trade payables not subject to supplier financing arrangements	60 days to 90 days

(iii) There were no significant non-cash changes in the carrying amount of trade payables that are part of supplier financing arrangements.

22. Share Capital

Details of share capital as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Number of authorized shares		200,000,000 shares		200,000,000 shares
Number of issued shares		109,142,293 shares		109,142,293 shares
Par value per share (in Korean won)	₩	5,000	₩	5,000
Share capital	₩	545,711,465	₩	545,711,465

23. Other Contributed Capital

Details of other contributed capital as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Share premium	₩	519,547,552	₩	519,547,552
Others[1]		292,355		292,355
	₩	519,839,907	₩	519,839,907

[1] Others represent an increase in connection with the acquisition of additional shares of subsidiaries.

24. Other Components of Equity

(1) Details of other components of equity as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Loss on valuation of financial assets at fair value through other comprehensive income	₩	(2,981,024)	₩	(3,106,760)
Gain on foreign operation translation, net		11,199,263		30,968,479
Gain on revaluation of land[1]		571,031,737		262,950,980
	₩	579,249,976	₩	290,812,699

[1] The Group remeasured its land assets using fair value and recognized related gain in the other comprehensive income.

(2) Changes in other components of equity for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)

		January 1, 2025	Change	December 31, 2025
Loss on valuation of financial assets at fair value through other comprehensive income	₩	(4,040,000)	-	(4,040,000)
Less: income tax effect		933,240	125,736	1,058,976
	₩	(3,106,760)	125,736	(2,981,024)
Gain on revaluation of land	₩	341,938,856	436,438,857	778,377,713
Less: income tax effect		(78,987,876)	(128,358,100)	(207,345,976)
	₩	262,950,980	308,080,757	571,031,737
Gain (loss) on foreign operation translation, net	₩	30,968,479	(19,769,216)	11,199,263
	₩	290,812,699	288,437,277	579,249,976

		January 1, 2024	Change	December 31, 2024
Loss on valuation of financial assets at fair value through other comprehensive income	₩	(3,676,465)	(363,535)	(4,040,000)
Less: income tax effect		849,264	83,976	933,240
	₩	(2,827,201)	(279,559)	(3,106,760)
Gain on revaluation of land	₩	341,938,856	-	341,938,856
Less: income tax effect		(78,987,876)	-	(78,987,876)
	₩	262,950,980	-	262,950,980
Gain (loss) on foreign operation translation, net	₩	37,002,699	(6,034,220)	30,968,479
	₩	297,126,478	(6,313,779)	290,812,699

25. Retained Earnings

Retained earnings as of December 31, 2025 and 2024, consist of:

(in thousands of Korean won)		2025		2024
Legal reserves[1]	₩	5,104,864	₩	2,922,018
Discretionary reserves		647,635,876		281,581,986
Retained earnings before appropriation (undisposed accumulated deficit)		781,480,891		404,109,748
	₩	1,434,221,631	₩	688,613,752

[1] The Commercial Code of the Republic of Korea requires the Group to appropriate for each financial period, as a legal reserve, an amount equal to a minimum of 10% of cash dividends paid until such reserve equals 50% of its issued share capital. The reserve is not available for cash dividends payment, but may be transferred to share capital or used to reduce accumulated deficit. When the cumulated legal reserves (the sum of capital reserves and earned profit reserves) are greater than 1.5 times the paid-in capital amount, the excess legal reserves may be distributed in accordance with a resolution of the shareholders' meeting.

26. Sales

(1) Details of sales for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Revenue from contracts with customers	₩	5,839,031,553	₩	4,376,597,857

(2) Revenue from contracts with customers is classified as follows:

(in thousands of Korean won)		2025		2024
Major categories:				
Defense system	₩	3,215,270,643	₩	2,365,206,072
Railway		2,089,645,548		1,495,603,554
Plant and machinery		534,115,362		515,788,231
Domestic/Export:				
Domestic		2,180,197,044		1,863,120,012
Export		3,658,834,509		2,513,477,845
Timing of revenue recognition:				
Performance obligation satisfied over time		5,730,992,630		4,153,915,768
Performance obligation satisfied at a point in time		108,038,923		222,682,089
	₩	5,839,031,553	₩	4,376,597,857

27. Construction Contracts

(1) The account balances of outstanding construction contracts as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025	2024
Accumulated cost	₩ 17,673,118,382	₩ 15,215,782,583
Accumulated income	2,870,234,262	1,039,978,266
Accumulated construction in progress	₩ 20,543,352,644	₩ 16,255,760,849
Progress billing	₩ 23,499,704,835	₩ 17,240,955,045
Contract assets	1,015,661,879	809,033,732
Contract liabilities	3,972,014,070	1,794,227,928
Reserve[1]	29,476,403	59,228,280

[1] It is classified as long-term trade receivables in the consolidated statements of financial position.

(2) Contract information that total contract revenue for the year ended December 31, 2025 is more than 5% of prior year's revenues, are as follows:

(in thousands of Korean won)				Contract assets		Trade receivables	
	Contract date	Contract completion date [1]	Percentage -of-completion	Gross amount	Provision for impairment	Gross amount	Provision for impairment
Railway A	2016-01-21	2026-06-30	67%	₩ 34,090,756	₩ -	₩ 2,665,375	₩ -
Railway B	2016-03-10	2031-06-30	92%	71,537,849	-	-	-
Railway C	2004-11-01	2030-12-31	97%	-	-	-	-
Railway I	2012-09-10	2026-06-30	98%	-	-	-	-
Railway L	2012-12-17	2026-06-30	98%	-	-	11,279,075	-
Railway M	2013-04-01	2026-06-30	98%	-	-	1,133,805	-
Railway O	2016-01-21	2026-06-30	93%	-	-	6,539,047	-
Railway Q	2016-05-19	2026-06-30	95%	-	-	20,973,698	-
Railway U	2016-08-18	2026-06-30	88%	-	-	112,278	-
Railway V	2016-12-15	2026-12-31	100%	11,962,008	-	210,884	-
Railway Y	2017-06-22	2026-06-30	98%	-	-	-	-
Railway AA	2012-04-30	2027-07-31	96%	20,903,300	-	-	-
Railway AB	2017-12-02	-[2]	0%	280,509	(280,509)	-	-
Railway AC	2017-11-06	2026-06-30	95%	7,923,981	-	588,625	-
Railway AD	2018-06-26	2026-06-30	97%	-	-	1,199,280	-
Railway AE	2018-07-30	2031-05-31	54%	-	-	-	-
Railway AF	2018-08-17	2026-07-14	49%	-	-	589,328	(589,328)
Railway AG	2018-07-30	2031-10-26	54%	-	-	-	-
Railway AH	2018-05-17	2024-07-31	100%	1,729,752	-	-	-
Railway AJ	2019-06-12	2027-11-19	91%	37,241,448	-	769,256	-
Railway AN	2019-12-10	2027-07-14	57%	-	-	-	-
Railway AO	2020-02-06	2028-04-30	48%	152,642,289	-	1,825,429	-
Railway AQ	2021-07-14	2026-06-30	92%	-	-	2,487,428	-
Railway AR	2022-01-06	2026-06-30	95%	-	-	-	-
Railway AS	2021-12-24	2026-03-31	89%	63,050,921	-	1,692,442	-

Railway AT	2021-07-14	2026-06-30	89%	-	-	-	-
Railway AU	2021-12-01	2027-06-30	55%	52,171,909	-	-	-
Railway AV	2022-08-23	2028-09-30	8%	-	-	22,241	-
Railway AW	2023-03-27	2028-03-27	43%	-	-	-	-
Railway AX	2023-04-28	2028-02-28	58%	136,425,993	-	-	-
Railway AY	2023-06-29	2031-12-31	15%	-	-	-	-
Railway AZ	2023-04-28	2042-05-28	2%	-	-	-	-
Railway BA	2024-03-22	2028-09-30	1%	3,925,027	-	-	-
Railway BB	2024-06-14	2026-12-31	63%	67,584,281	-	11,472,594	-
Railway BC	2024-06-06	2027-06-01	4%	-	-	-	-
Railway BD	2024-01-31	2030-02-28	6%	-	-	8,734,149	-
Railway BE	2024-07-26	2028-10-25	5%	-	-	-	-
Railway BF	2024-07-25	2028-07-24	5%	-	-	-	-
Railway BG	2025-02-26	2031-12-31	2%	-	-	-	-
Railway BH	2022-11-28	2028-06-30	23%	7,434,286	-	-	-
Railway BI	2025-05-02	2033-04-17	5%	262,750	-	-	-
Railway BJ	2025-03-28	2030-12-31	0%	214,050	-	-	-
Railway BK	2025-02-25	2031-12-31	0%	-	-	-	-
Plant G	2021-08-31	2027-03-15	69%	46,233,996	-	21,342,200	-

[1] Included the contracts that goods were delivered, but provision of training manuals or supplying of reserve parts is in progress as of the end of the reporting period.

[2] The contract completion date of the respective Railway AB project is in the process of discussion.

(3) Contract information that contract revenue for the year ended December 31, 2024 is more than 5% of prior year's revenues, are as follows:

(in thousands of Korean won)	Contract date	Contract completion date [1]	Percentage -of-completion	**Contract assets**		**Trade receivables**	
				Gross amount	**Provision for impairment**	**Gross amount**	**Provision for impairment**
Railway A	2016-01-21	2025-11-30	55%	₩ -	₩ -	₩ 18,196,781	₩ -
Railway B	2016-03-10	2031-06-30	90%	79,817,393	-	-	-
Railway C	2004-11-01	2030-12-31	97%	-	-	-	-
Railway I	2012-09-10	2025-12-31	97%	-	-	140,107	-
Railway L	2012-12-17	2025-12-31	97%	-	-	11,578,162	-
Railway M	2013-04-01	2025-12-31	96%	-	-	5,325,972	-
Railway O	2016-01-21	2025-11-30	93%	11,136,019	-	21,922,059	-
Railway Q	2016-05-19	2025-12-31	96%	-	-	21,286,088	-
Railway U	2016-08-18	2025-12-31	85%	-	-	-	-
Railway V	2016-12-15	2023-07-31	100%	12,389,773	-	-	-
Railway X	2013-06-22	2024-06-30	100%	-	-	-	-
Railway Y	2017-06-22	2025-12-31	98%	2,924,774	-	3	-
Railway AA	2012-04-30	2027-07-31	93%	27,984,160	-	-	-
Railway AB	2017-12-02	-[2]	0%	280,509	(280,509)	-	-
Railway AC	2017-11-06	2025-12-31	93%	4,649,167	-	603,023	-
Railway AD	2018-06-26	2025-12-30	98%	9,374,635	-	-	-
Railway AE	2018-07-30	2031-05-31	44%	-	-	-	-

Railway AF	2018-08-17	2026-07-14	33%	-	-	589,328	(589,328)
Railway AG	2018-07-30	2031-10-26	42%	7,850,000	-	-	-
Railway AH	2018-05-17	2024-07-31	100%	1,772,064	-	-	-
Railway AJ	2019-06-12	2027-11-19	90%	35,918,212	-	3,374,655	-
Railway AN	2019-12-10	2027-07-14	71%	-	-	66,615,509	-
Railway AO	2020-02-06	2028-04-30	26%	74,130,060	-	1,071,384	-
Railway AP	2020-03-19	2025-03-31	90%	-	-	76,255,249	-
Railway AQ	2021-07-14	2025-06-30	90%	40,270,631	-	-	-
Railway AR	2022-01-06	2025-12-31	85%	35,457,402	-	-	-
Railway AS	2021-12-24	2026-03-31	76%	30,769,529	-	20,000,000	-
Railway AT	2021-07-14	2025-06-30	84%	-	-	-	-
Railway AU	2021-12-01	2027-06-30	23%	-	-	-	-
Railway AV	2022-08-23	2028-09-30	3%	-	-	-	-
Railway AW	2023-03-27	2028-03-27	5%	-	-	-	-
Railway AX	2023-04-28	2028-02-28	5%	-	-	-	-
Railway AY	2023-06-29	2026-12-19	6%	-	-	-	-
Railway AZ	2023-04-28	2042-05-28	1%	3,130,143	-	-	-
Railway BA	2024-03-22	2028-09-30	0%	1,262,124	-	-	-
Railway BB	2024-06-14	2026-12-31	9%	-	-	-	-
Railway BC	2024-06-06	2027-06-01	2%	-	-	-	-
Railway BD	2024-01-31	2030-02-28	1%	-	-	29,059,853	-
Railway BE	2024-07-26	2028-10-25	0%	-	-	-	-
Railway BF	2024-07-25	2028-07-24	1%	-	-	-	-
Plant B	2014-12-03	2024-04-30	100%	-	-	-	-
Plant G	2021-08-31	2027-01-31	48%	39,162,243	-	29,789,623	-

[1] Included the contracts that goods were delivered, but provision of training manuals or supplying of reserve parts is in progress as of the end of the reporting period.

[2] The contract completion date of the respective Railway AB project is in the process of discussion.

According to the confidentiality clause on the defense system contracts with government organization, the Group has not disclosed details of defense system contracts on the registration statements, investment prospectus and business (interim) reports. In addition, the Group reported to the audit committee that the details of such information were not to be disclosed in the consolidated financial statements.

Details of contract assets and trade receivables of the defense system as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025							
	Contract assets				**Trade receivables**			
	Gross amount		**Accumulated impairment loss**		**Gross amount**		**Provision for impairment**	
Defense system	₩	101,358,068	₩	(102,275)	₩	3,137,287,733	₩	(97,066)

(in thousands of Korean won)	2024							
	Contract assets				**Trade receivables**			
	Gross amount		**Accumulated impairment loss**		**Gross amount**		**Provision for impairment**	
Defense system	₩	72,106,738	₩	(106,368)	₩	537,855,625	₩	(48,866)

Provisions for construction loss by operating segments as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	**2025**		**2024**	
Railway	₩	53,819,081	₩	51,328,966
Plant and machinery		3,567,962		3,157,693
	₩	57,387,043	₩	54,486,659

(4) Changes in estimated total contract revenue and cost

Due to factors causing the changes in costs as well as design of the ongoing construction contracts in 2025 and 2024, the estimated total revenue and estimated total costs for contracts in progress have changed compared to the prior period. Details of changes in estimated total contract revenue, estimated total contract costs, profits or loss for the current(prior) period and future periods, and the impact on contract assets are as follows:

	2025									
(in thousands of Korean won)	**Changes in estimated total contract revenue**		**Changes in estimated total contract costs**		**Impact on profit or loss for the current period**		**Impact on profit or loss for future periods**		**Changes in contract assets**	
Defense system	₩	(44,512,331)	₩	(467,847,683)	₩	420,395,607	₩	2,939,745	₩	(5,774,811)
Railway		610,267,694		707,586,139		(61,572,201)		(35,746,244)		(71,292,412)
Plant and machinery		13,119,547		2,617,109		7,560,792		2,941,646		(8,945,602)
	₩	578,874,910	₩	242,355,565	₩	366,384,198	₩	(29,864,853)	₩	(86,012,825)

	2024									
(in thousands of Korean won)	**Changes in estimated total contract revenue**		**Changes in estimated total contract costs**		**Impact on profit or loss for the prior period**		**Impact on profit or loss for future periods**		**Changes in contract assets**	
Defense system	₩	322,161,029	₩	(111,483,344)	₩	229,722,359	₩	203,922,014	₩	33,340,465
Railway		877,260,031		1,017,432,745		(38,245,789)		(101,926,925)		(97,534,828)
Plant and machinery		29,562,382		26,066,515		2,895,574		600,293		42,537,821
	₩	1,228,983,442	₩	932,015,916	₩	194,372,144	₩	102,595,382	₩	(21,656,542)

The impact on the current and future profit or loss has been determined based on the estimated total costs, considering the circumstances from the contract inception to the end of the current period, and the total contract revenue as of December 31, 2025. The estimated total costs and total contract revenue may change in future periods.

28. Selling and Administrative Expenses

Selling and administrative expenses for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025	2024
Salaries	₩ 150,300,259	₩ 130,668,494
Post-employment benefits	9,480,762	8,663,209
Long-term employee benefits expenses	4,155,359	2,339,359
Employee welfare benefits	23,516,924	21,165,109
Travel expenses	4,076,125	3,707,468
Expenses for warranties	19,746,296	39,904,430
Commission	22,993,829	17,707,334
Impairment loss (Reversal)	(3,651,943)	19,341,942
Advertisements	22,970,611	22,707,221
Rent	455,537	52,172
Tax and dues	5,603,499	3,567,101
Insurance	2,376,830	1,329,263
Employee training cost	2,535,446	2,234,932
IT system operating expenses	17,120,192	15,137,741
Research and development expenses	55,937,426	31,700,698
Bidding related expenses	9,604,649	21,696,105
Amortization	19,958,364	14,438,627
Depreciation	10,168,625	6,866,286
Others	9,026,714	9,254,613
	₩ 386,375,504	₩ 372,482,104

29. Other Income and Other Expenses

(1) Details of other income for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Gain on foreign currency transactions and translation[1]	₩	87,478,510	₩	99,707,305
Gain on disposal of property, plant and equipment		12,872,035		74,087
Others		17,749,871		14,268,777
	₩	118,100,416	₩	114,050,169

[1] Gain (loss) on foreign currency transactions and foreign currency translation that arise from foreign currency assets and liabilities, excluding bank deposits and borrowings but including usance borrowings, are classified as other income (expenses) by the nature of the transaction or event.

(2) Details of other expenses for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Loss on foreign currency transactions and translation[1]	₩	67,853,329	₩	64,026,623
Loss on disposal of property, plant and equipment		747,351		242,617
Loss on disposal of intangible assets		-		115,485
Depreciation on assets not in use		18,718		18,718
Donations		2,114,305		1,186,229
Others		85,791,391		18,664,749
	₩	156,525,094		84,254,421

[1] Gain (loss) on foreign currency transactions and foreign currency translation that arise from foreign currency assets and liabilities, excluding bank deposits and borrowings but including usance borrowings, are classified as other income (expenses) by the nature of the transaction or event.

30. Finance Income and Costs

(1) Details of finance income for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Interest income	₩	33,033,424	₩	28,054,987
Gain on foreign currency transactions and translation[1]		22,153,811		15,790,886
Dividend income		153,119		155,395
Gain on valuation of financial assets at fair value through profit or loss		322,576		246,722
Gain on derivatives		38,869,690		30,962,944
	₩	94,532,620	₩	75,210,934

[1] Gain (loss) on foreign currency transactions and foreign currency translation that arise from bank deposits and borrowings (excluding usance borrowings) in foreign currency, are classified as finance income (costs) by the nature of the transaction or event.

(2) Details of finance costs for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Interest expenses	₩	7,873,311	₩	16,621,892
Loss on foreign currency transactions and translation[1]		22,876,658		33,782,213
Loss on disposal of financial assets at fair value through profit or loss		35,198		15,403
Loss on valuation of financial assets at fair value through profit or loss		191,604		1,484,997
Loss on derivatives		26,424,208		-
	₩	57,400,979	₩	51,904,505

[1] Gain (loss) on foreign currency transactions and foreign currency translation that arise from bank deposits and borrowings (excluding usance borrowings) in foreign currency, are classified as finance income (costs) by the nature of the transaction or event.

31. Breakdown of Expenses by Nature

Expenses by nature for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025	2024
Changes in inventories	₩ (187,334,508)	₩ (46,936,978)
Purchase of raw materials	2,480,983,142	1,974,152,574
Employee benefits expenses	653,356,569	576,619,489
Outsourcing expenses	181,199,918	177,773,574
Depreciation	39,475,890	32,566,039
Amortization	19,976,941	14,442,133
Commissions	149,245,379	118,486,792
Shipping and storage fees	47,272,013	50,796,281
Others	1,605,740,794	1,106,386,840
	₩ 4,989,916,138	₩ 4,004,286,744

The total amount of the above expenses agrees to the sum of cost of sales, selling and administrative expenses, and other expenses in the consolidated statements of comprehensive income.

32. Income Tax Expense (Benefit)

(1) Income tax expense (benefit) for the years ended December 31, 2025 and 2024, consists of:

(in thousands of Korean won)		2025		2024
Current income tax on profit (loss) for the year	₩	244,163,127	₩	47,081,047
Adjustments in respect of current income tax of prior years		3,352,543		4,862,435
Changes in deferred income tax due to temporary differences		109,637,814		45,252,469
Items that are charged or credited directly to equity		(123,368,827)		7,105,723
Income tax expense (benefit)	₩	233,784,657	₩	104,301,674

(2) The differences between profit before income tax and income tax expense (benefit) pursuant to the Corporate Income Tax Law of Korea for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Profit before income tax expense	₩	1,004,276,856	₩	509,561,088
Income tax based on statutory income tax rate		231,438,484		117,708,611
Adjustments:				
Non-taxable income, net		577,382		573,500
Tax credits		(8,883,767)		(6,913,110)
Others		10,652,558		(7,067,327)
Income tax expense (benefit)	₩	233,784,657	₩	104,301,674
Effective tax rate		23.28%		20.47%

(3) The change in deferred income tax assets and liabilities for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025							
	Beginning balance		**Recognized in profit or loss**		**Charged or credited directly to equity**		**Ending Balance**	
Net defined benefit liability	₩	(2,701,532)	₩	(5,195,471)	₩	4,863,538	₩	(3,033,465)
Interest on construction loans		(538,799)		151,892		-		(386,907)
Government grants		6,776,890		1,055,104		-		7,831,994
Long-term employee benefits		4,341,973		3,642,919		-		7,984,892
Provision for construction warranties		30,404,533		7,866,494		-		38,271,027
Land		(159,669,344)		(13,330,087)		(128,358,100)		(301,357,531)
Miscellaneous income		(757,198)		770,442		-		13,244
Miscellaneous loss		20,876,469		(6,067,913)		-		14,808,556
Provision for construction loss		12,477,591		2,281,751		-		14,759,342
Other provisions		5,675,428		13,931,921		-		19,607,349
Others		27,824,361		(929,953)		125,735		27,020,143
Unused tax losses		-		9,553,914		-		9,553,914
	₩	(55,289,628)	₩	13,731,013	₩	(123,368,827)	₩	(164,927,442)
Deferred income tax assets		109,075,350		35,925,177		4,989,273		149,989,800
Deferred income tax liabilities	₩	(164,364,978)	₩	(22,194,164)	₩	(128,358,100)	₩	(314,917,242)

(in thousands of Korean won)	2024							
	Beginning balance		**Recognized in profit or loss**		**Charged or credited directly to equity**		**Ending Balance**	
Net defined benefit liability	₩	(7,672,185)	₩	(2,135,070)	₩	7,105,723	₩	(2,701,532)
Interest on construction loans		(578,552)		39,753		--		(538,799)
Government grants		6,853,963		(77,073)		-		6,776,890
Long-term employee benefits		2,883,914		1,458,059		-		4,341,973
Provision for construction warranties		22,195,686		8,208,847		-		30,404,533
Revaluation of properties		(159,669,344)		-		-		(159,669,344)
Miscellaneous income		(1,257,743)		500,545		-		(757,198)
Miscellaneous loss		22,092,746		(1,216,277)		-		20,876,469
Provision for construction loss		9,117,622		3,359,969		-		12,477,591
Other provisions		5,109,579		565,849		-		5,675,428
Others		24,916,696		2,907,665		-		27,824,361
Unused tax losses		65,970,459		(65,970,459)		-		-
	₩	(10,037,159)	₩	(52,358,192)	₩	7,105,723	₩	(55,289,628)
Deferred income tax assets		160,665,433		(51,590,083)		-		109,075,350
Deferred income tax liabilities	₩	(170,702,592)	₩	(768,109)	₩	7,105,723	₩	(164,364,978)

(4) The analysis of deferred income tax assets and liabilities as of December 31, 2025 and 2024, is as follows:

(in thousands of Korean won)	2025	2024
Deferred income tax assets:		
Deferred income tax asset to be recovered within 12 months	₩ 42,101,590	₩ 26,789,918
Deferred income tax asset to be recovered after more than 12 months	107,888,210	82,186,503
Deferred income tax liabilities:		
Deferred income tax liability to be recovered within 12 months	(11,139,871)	(1,320,518)
Deferred income tax liability to be recovered after more than 12 months	(303,777,371)	(162,945,531)
Deferred income tax assets (liabilities), net	₩ (164,927,442)	₩ (55,289,628)

(5) As of December 31, 2025, deferred income tax assets not recognized for deductible temporary differences are ₩296,646,803 thousand, and deferred income tax liabilities not recognized for taxable temporary differences are ₩(3,148,645) thousand.

(6) Income taxes relating to items that are charged or credited directly to equity for the years ended December 31, 2025 and 2024 are as follows:

(in thousands of Korean won)	2025			2024		
	Before tax	**Tax effect**	**After tax**	**Before tax**	**Tax effect**	**After tax**
Gain (loss) on valuation of financial assets at fair value – other comprehensive income	₩ (4,040,000)	₩ 1,058,976	₩ (2,981,024)	₩ (4,040,000)	₩ 933,240	₩ (3,106,760)
Remeasurements	(85,246,455)	22,618,023	(62,628,432)	(79,091,144)	18,270,054	(60,821,090)
Revaluation of land	778,377,713	(207,345,976)	571,031,737	341,938,856	(78,987,876)	262,950,980
	₩ 689,091,258	₩ (183,668,977)	₩ 505,422,281	₩ 258,807,712	₩ (59,784,582)	₩ 199,023,130

(7) The Group applied the temporary exception under Korean International Financial Reporting Standard (K-IFRS) No. 1012 *Income Taxes* and did not recognize deferred income tax assets and liabilities related to the global minimum tax legislation, nor did it disclose related information. As of December 31, 2025, the Pillar Two global minimum tax had no impact on current income tax expense

33. Earnings per Share

Basic earnings per share is calculated by dividing the profit attributable to equity holders of the Group by the weighted average number of ordinary shares outstanding during the financial year. Basic earnings per share for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		**2025**		**2024**
Profit attributable to the owner of the Controlling Group	₩	769,947,514	₩	406,891,810
Weighted average number of ordinary shares outstanding		109,142,293 shares		109,142,293 shares
Basic earnings per share (In won)	₩	7,055	₩	3,728

The Group does not have dilutive potential ordinary shares, so basic earnings per share and diluted earnings per share are the same.

34. Cash Generated from Operations

(1) Cash generated from operations

Details of cash generated from operations for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025	2024
Profit for the year	₩ 770,492,199	₩ 405,259,414
Addition of items not involving cash outflows:		
Post-employment benefits	₩ 33,834,621	₩ 29,156,137
Other long-term employee benefits	13,560,506	8,041,143
Depreciation	31,305,653	26,162,698
Depreciation of right-of-use assets	8,170,237	6,403,341
Depreciation of investment property	129,319	-
Amortization	19,976,941	14,442,133
Provision for construction warranties	44,827,919	75,803,513
Impairment loss	-	19,341,942
Loss on foreign currency translation	17,166,756	32,105,516
Loss on disposal of property, plant and equipment	747,351	242,617
Loss on disposal of intangible assets	-	115,485
Depreciation on assets not in use	18,718	18,718
Other impairment loss	200,000	-
Other selling and administrative expenses	349,727	-
Loss on valuation of inventories	406,058	319,774
Interest expenses	7,873,311	16,621,892
Provisions for construction loss	30,092,470	61,106,687
Loss on derivatives	26,424,208	-
Miscellaneous losses	70,558,448	17,291,622
Loss on foreign exchange	-	7,501,280
Loss on share of earnings of equity-accounted investees	70,616	106,623
Loss on disposal of financial assets at fair value through profit or loss	35,198	15,403
Loss on valuation of financial assets at fair value through profit or loss	191,604	1,484,997
Income tax expense (benefit)	233,784,657	104,301,675
	₩ 539,724,318	₩ 420,583,196
Deduction of items not involving cash inflows:		
Gain on foreign currency translation	₩ 36,857,101	₩ 30,266,714
Gain on foreign currency transactions	6,350,000	-
Gain on disposal of property, plant and equipment	12,872,035	74,088
Reversal of bad debt expense	3,651,944	-
Interest income	33,033,424	28,054,987
Dividend income	153,119	155,395

(in thousands of Korean won)	2025	2024
Gain on valuation of financial assets at fair value through profit or loss	322,576	246,722
Gain on derivatives	38,869,690	30,962,944
Miscellaneous income	6,557,664	48,110
Reversal of provisions for construction loss	27,192,086	46,090,252
Other income not involving cash outflows	4,735,687	2,530,414
	₩ (170,595,326)	₩ (138,429,626)
Changes in operating assets and liabilities:		
Increase in trade receivables	₩ (2,494,215,778)	₩ (580,707,978)
Decrease (increase) in contract assets	(213,833,852)	303,444,677
Decrease in non-trade receivables	10,349,702	11,468,504
Increase in inventories	(196,209,722)	(152,514,312)
Increase in prepaid expenses	(13,481,047)	(7,745,905)
Decrease (increase) in advance payments	(99,628,618)	3,603,562
Decrease in long-term trade receivables	31,083,848	16,767,659
Increase in trade payables	303,723,683	47,790,647
Increase in contract liabilities	2,175,052,803	158,197,117
Increase in other payables	11,803,880	29,589,752
Increase (decrease) in accrued expenses	23,838,378	(224,521,692)
Increase (decrease) in advance receipts	413,397,275	(54,725,541)
Increase (decrease) in withholdings	34,366,192	(13,395,199)
Decrease in the defined benefit obligations	(54,978,333)	(48,321,328)
Decrease (increase) in plan assets	(1,160,631)	6,124,568
Decrease in long-term employee benefits	(2,082,371)	(1,532,656)
Decrease in other provisions	(17,198,579)	-
Decrease in provisions for construction warranties	(31,201,616)	(34,616,045)
	₩ (120,374,786)	₩ (541,094,170)
Cash generated from operations	₩ 1,019,246,405	₩ 146,318,814

(2) Significant Transactions Not Affecting Cash Flows

Significant transactions not affecting cash flows for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		**2025**		**2024**
Transfer of long-term loans to current assets	₩	2,202,262	₩	1,596,569
Transfer of construction in progress to property, plant and equipment		135,829,719		23,822,863
Transfer of long-term borrowings and debentures to current liabilities		-		243,673,559
Changes in other payables related to acquisition of property, plant and equipment		1,023,531		639,549
Changes in exchange of property, plant and equipment		12,742,494		-
Transfer of property, plant and equipment to investment property		18,883,656		-

(3) The group described cash inflows and outflows related to financial institution deposits and short-term borrowings with high turnover rates, large amounts, and short maturity due to frequent transactions, as net increases and decreases.

(4) Changes in liabilities arising from financing activities

Changes in liabilities arising from financial activities for the year ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025				
	Borrowings[1]	Debentures[1]	Current portion of lease liabilities	Lease liabilities	Total[1]
Beginning balance	₩ 209,992,677	₩ 114,946,020	₩ 6,291,998	₩ 19,848,947	₩ 351,079,642
New lease contract	-	-	-	8,911,889	8,911,889
Borrowing	23,443,640	49,729,668	-	-	73,173,308
Repayment	(171,726,423)	(115,000,000)	(7,470,920)	-	(294,197,343)
Exchange differences	(1,544,317)	-	-	(77,485)	(1,621,802)
Amortization	-	70,800	-	-	70,800
Transfer to current liabilities	-	-	8,009,799	(8,009,799)	-
Cancellation	-	-	-	(880,073)	(880,073)
Others[2]	-	-	-	(4,107,743)	(4,107,743)
Ending balance	₩ 60,165,577	₩ 49,746,488	₩ 6,830,877	₩ 15,685,736	₩ 132,428,678

(in thousands of Korean won)	2024				
	Borrowings[1]	Debentures[1]	Current portion of lease liabilities	Lease liabilities	Total[1]
Beginning balance	₩ 348,675,745	₩ 232,711,020	₩ 3,444,796	₩ 10,094,605	₩ 594,926,166
New lease contract	-	-	-	17,167,965	17,167,965
Borrowing	20,771,004	-	-	-	20,771,004
Repayment	(188,486,717)	(118,000,000)	(5,373,115)	-	(311,859,832)
Exchange differences	29,032,644	-	-	40,361	29,073,005
Amortization	-	235,000	-	-	235,000
Transfer to current liabilities	-	-	8,220,317	(8,220,317)	-
Cancellation	-	-	-	(1,969,521)	(1,969,521)
Others[2]	-	-	-	2,735,854	2,735,854
Ending balance	₩ 209,992,676	₩ 114,946,020	₩ 6,291,998	₩ 19,848,947	₩ 351,079,641

[1] These include current portion of debentures and long term-liabilities.

[2] Others represent the remeasurement to reflect changes in lease payments.

35. Financial Risk Management

(1) Capital risk management

The Group manages its capital to maintain an optimal capital structure for maximizing its shareholders' profit and reducing the cost of capital. Debt-to-equity ratio calculated as total liabilities divided by equity is used as an index to manage the Group's capital. The overall capital risk management policy is consistent with that of the prior period. Debt-to-equity ratios as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)		2025		2024
Total debt	₩	6,276,800,158	₩	3,276,309,551
Total equity		3,041,233,616		2,009,085,189
Debt-to-equity ratio		206.39%		163.07%

(2) Financial risk management

The Group is exposed to various financial risks such as market risk (foreign exchange risk and interest rate risk), credit risk and liquidity risk related to financial instruments. The purpose of risk management of the Group is to identify potential risks related to financial performance and reduce, eliminate and evade those risks to the degree acceptable to the Group. Overall, the Group's financial risk management policy is consistent with that of the prior period.

35.1 Market risk

The Group is mainly exposed to the financial risks arising from the changes in the foreign exchange rates and the interest rates.

a) Foreign exchange risk

The Group is exposed to various foreign currency risks since it makes transactions in foreign currencies. The Group is mainly exposed to the risk on USD, EUR and others. The book amounts of the Group's monetary assets and liabilities denominated in foreign currencies as of December 31, 2025, are as follows:

(in thousands of Korean won)		Assets		Liabilities
USD	₩	3,511,871,167	₩	56,978,348
EUR		12,354,537		34,349,647
CNY		-		9,224,527
JPY		3,842,713		1,917,221
HKD		11,300,532		-
INR		5,921,888		3,555,265
TWD		2,548,322		-
MYR		26,702,976		-
PLN		1,058,517		4,668,162
SGD		2,443,025		2,117,615
QAR		77,682		151,069

The Group is exposed to various foreign currency risks since it operates transactions in foreign currencies. The Group is mainly exposed to the risk on USD, EUR and others. The Group manages foreign exchange risk by matching the inflow and the outflow of foreign currencies according to each currency and maturity, and by adjusting the foreign currency settlement day according to the exchange rate forecast. In addition, the Group uses foreign currency derivatives, including currency forwards, currency swaps, and currency options, as hedging instruments.

The effect of 5% change in the exchange rate of the functional currency against each foreign currency on profit before income tax as of December 31, 2025, is as follows:

(in thousands of Korean won)	**Increase by 5%**	**Decrease by 5%**
USD	₩ 172,744,641	₩ (172,744,641)
EUR	(1,099,756)	1,099,756
CNY	(461,226)	461,226
JPY	96,275	(96,275)
HKD	565,027	(565,027)
INR	118,331	(118,331)
TWD	127,416	(127,416)
MYR	1,335,149	(1,335,149)
PLN	(180,482)	180,482
SGD	16,271	(16,271)
QAR	(3,669)	3,669

b) Interest rate risk

The Group borrows funds with fixed and variable interest rates, and the Group is exposed to interest rate risk arising from financial instruments with variable interest rates. To manage the interest rate risk, the Group maintains an appropriate balance between borrowings with fixed and variable interest rates for short-term borrowings and has a policy to borrow funds with fixed interest rates to avoid the future cash flow fluctuation risk for the long-term borrowings if possible. The Group manages its interest rate risk through regular assessment of the change in market conditions and the adjustments in nature of its interest rates.

The effect of 1% change in interest rate of assets and liabilities to profit (loss) before income tax as of December 31, 2025, is as follows:

(in thousands of Korean won)	**Increase by 1%**	**Decrease by 1%**
Cash and cash equivalents	₩ 2,605,995	₩ (2,605,995)
Borrowings	(505,716)	505,716
	₩ 2,100,279	₩ (2,100,279)

c) Details of derivative contracts

At the end of the current period, the Group does not hold any derivative contracts.

35.2 Credit risk

The credit risk refers to risk of financial losses for the Group when the counterpart defaults on the obligations of the contract. The Group operates a policy to transact only with counterparties that have more than a certain level of credit rating, based on the counterparty's financial conditions, default history and other factors. The credit risk on liquid funds and derivative financial instruments is limited as the Group transacts only with financial institutions with high credit ratings assigned by international credit rating agencies. Except for financial guarantee contracts and payment guarantees described in Note 37, the book amount of financial assets in the financial statements represents the maximum amount of exposure to credit risk

35.3 Liquidity risk

The Group manages liquidity risk by establishing short-term and long-term fund management plans and analyzing and reviewing actual cash outflow and its budget to correspond the maturity of financial liabilities to that of financial assets. Due to the inherent nature of the Group's industry of continuous research and development investment and sensitivity to economic fluctuations, the Group minimizes the credit risk of its cash equivalents by investing in risk-free assets. In addition, the Group has agreements in place with financial institutions with respect to trade financing and overdraft to mitigate any significant unexpected market deterioration, and has secured stable financing ability through the strengthening of its credit ratings.

As described in Note 21, the Group participates in supplier financing arrangements (supply chain financing arrangements) to enhance the efficiency of payments to suppliers. Through these arrangements, the Group centralizes payments to suppliers via financial institutions instead of settling trade payables with each individual supplier directly. The supplier financing arrangements do not significantly extend payment terms compared to those granted to suppliers not participating in the arrangements. The payment due dates for suppliers participating in these arrangements are consistent with those for suppliers under the Group's standard payment terms.

The maturity analysis of non-derivative liabilities according to their remaining maturity as of December 31, 2025, is as follows:

(in thousands of Korean won)	Less than 1 year	Between 1 year and 5 years	Over 5 years	Total
Non-interest-bearing liabilities	₩ 801,763,840	₩ -	₩ -	₩ 801,763,840
Interest-bearing liabilities	50,910,847	61,423,379	4,795,765	117,129,991
Lease liabilities	7,741,589	12,700,541	7,481,320	27,923,450
Financial guarantee contract and others[1]	34,044,396	-	-	34,044,396
	₩ 894,460,672	₩ 74,123,920	₩ 12,277,085	₩ 980,861,677

[1] Financial payment guarantee contract, performance guarantee contract and supplement funding contract are included. The above amount is the maximum amount that may be requested at the earliest payment period.

36. Related Party Transactions

(1) Details of the controlling group, subsidiaries, associates and other related parties as of December 31, 2025, are as follows:

	Name of company
Controlling Company	Hyundai Motor Company
Associate	HyStation Co., Ltd.
Other related parties	Kia Corporation
	Hyundai Steel Corporation
	Hyundai Glovis Corporation
	HYUNDAI ENGINEERING & CONSTRUCTION CO., LTD. and Hyundai Motor enterprise group's affiliates

(2) Significant transactions between the Group and related parties for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025					
	Sales/proceeds			Purchases/expenses		
	Sales	Others	Total	Purchases	Others	Total
Controlling Company:						
Hyundai Motor Company	₩ 149,579,298	₩ 40,623	₩ 149,619,921	₩ 7,115,594	₩ 12,370,202	₩ 19,485,796
Other related parties:						
Hyundai Steel Corporation	151,677,391	-	151,677,391	18,497,398	326,363	18,823,761
Hyundai Mobis Coporation	2,374,328	626	2,374,954	3,300	12,098,170	12,101,470
Kia Corporation	40,732,874	-	40,732,874	416,076	480,526	896,602
Hyundai Glovis Corporation	22,650	-	22,650	54,076,712	1,183,887	55,260,599
HYUNDAI TRANSYS INC.	-	-	-	64,558,808	-	64,558,808
HYUNDAI ENGINEERING & CONSTRUCTION CO., LTD.	-	-	-	906,393	729,746	1,636,139
HYUNDAI BNG STEEL CO., LTD.	-	-	-	11,021,608	-	11,021,608
Green Air Co., Ltd.	-	-	-	143,533	-	143,533
Dongbuk lightrail co., ltd	43,134,748	-	43,134,748	-	-	-
Others	124,504,803	149,400	124,654,203	85,233,041	34,912,833	120,145,874

(in thousands of Korean won)	2024					
	Sales/proceeds			Purchases/expenses		
	Sales	Others	Total	Purchases	Others	Total
Controlling Company:						
Hyundai Motor Company	₩ 72,050,736	₩ 8,802	₩ 72,059,538	₩ 5,252,462	₩ 3,859,510	₩ 9,111,972
Associate:						
HyStation Co., Ltd.	5,499,009	-	5,499,009	44,925	-	44,925
Other related parties:						
Hyundai Steel Corporation	185,960,596	-	185,960,596	11,359,979	378,922	11,738,901
Hyundai Mobis Coporation	115,899	7,948	123,847	13,200	1,056,956	1,070,156
Kia Corporation	49,426,735	-	49,426,735	467,928	358,333	826,261
Hyundai Glovis Corporation	17,217	-	17,217	57,560,722	4,053,401	61,614,123
HYUNDAI TRANSYS INC.	-	-	-	54,775,970	-	54,775,970
HYUNDAI ENGINEERING & CONSTRUCTION CO., LTD.	-	-	-	34,279	513,743	548,022
HYUNDAI BNG STEEL CO., LTD.	-	-	-	3,100,506	-	3,100,506
Green Air Co., Ltd.	4,985,939	-	4,985,939	138,034	-	138,034
Dongbuk lightrail co., ltd	38,220,375	-	38,220,375	-	-	-
Others	203,466,544	3,645,378	207,111,922	75,889,157	38,056,882	113,946,039

(3) Outstanding balances arising from sales/purchases of goods and services as of December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025						
	Receivables				Payables		
	Trade receivables[1]	Non-trade receivables and others	Deposits and advance payment	Total	Trade payables and other payables	Advance received[2]	Total
Controlling Company:							
Hyundai Motor Company	₩ 85,505,255	₩ -	₩ -	₩ 85,505,255	₩ 3,015,301	₩ 23,203,454	₩ 26,218,755
Other related parties:							
Hyundai Steel Corporation	117,961,314	-	-	117,961,314	570,502	21,151,403	21,721,905
Hyundai Mobis Coporation	43,530	-	-	43,530	3,630	-	3,630
Kia Corporation	29,006,086	-	-	29,006,086	680,706	5,155,890	5,836,596
Hyundai Glovis Corporation	-	-	-	-	3,398,300	-	3,398,300
HYUNDAI TRANSYS INC.	-	-	10,336,950	10,336,950	14,405,657	-	14,405,657
HYUNDAI ENGINEERING & CONSTRUCTION CO., LTD.	-	3,347,380	651,935	3,999,315	542,516	-	542,516
HYUNDAI BNG STEEL CO., LTD.	-	-	-	-	3,183,237	-	3,183,237
Green Air Co., Ltd.	-	-	-	-	11,549	-	11,549
Dongbuk lightrail co., ltd	589,328	-	-	589,328	-	15,754,546	15,754,546
Others	36,063,611	1,849	24,953,754	61,019,214	31,418,106	17,207,551	48,625,657

(in thousands of Korean won)	2024						
	Receivables				Payables		
	Trade receivables[1]	Non-trade receivables and others	Deposits and advance payment	Total	Trade payables and other payables	Advance received[2]	Total
Controlling Company:							
Hyundai Motor Company	₩ 30,529,280	₩ 239	₩ -	₩ 30,529,519	₩ 2,744,067	₩ 14,086,119	₩ 16,830,186
Other related parties:							
Hyundai Steel Corporation	129,866,267	-	-	129,866,267	3,957,188	30,111,074	34,068,262
Hyundai Mobis Coporation	120,048	-	-	120,048	38,604	7,640	46,244
Kia Corporation	10,876,376	-	-	10,876,376	1,910,312	3,707,995	5,618,307
Hyundai Glovis Corporation	947	-	-	947	3,661,198	-	3,661,198
HYUNDAI TRANSYS INC.	-	-	13,218,592	13,218,592	14,773,716	-	14,773,716
HYUNDAI ENGINEERING & CONSTRUCTION CO., LTD.	-	3,347,380	1,537,504	4,884,884	520,497	-	520,497
HYUNDAI BNG STEEL CO., LTD.	-	-	-	-	596,278	-	596,278
Green Air Co., Ltd.	31,560	-	-	31,560	18,901	-	18,901
Dongbuk lightrail co., ltd	589,328	-	-	589,328	-	7,149,459	7,149,459
Others	84,387,222	304,869	1,910,276	86,602,367	29,350,904	11,736,549	41,087,453

[1] Trade receivables represent the gross carrying amount before deducting provisions for impairment of ₩ 589 million as of December 31, 2025 (2024: ₩ 589 million). No impairment loss was recognized for the year ended December 31, 2025 (2024: ₩ 589 million), and there was no reversal of impairment losses recognized for the years ended December 31, 2025 and 2024..

[2] Lease liabilities incurred from related party transactions were included.

(4) Fund and equity transactions between the Group and related parties for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)

	Counterparty	Description	2025	2024
Controlling Company	Hyundai Motor Company	Payment of dividends	₩ 7,370,486	₩ 3,685,243
Associate	Hystation Co., Ltd.	Acquisition of shares	-	880,000
Other related parties	Seobu Gwang Yeok Metro	Acquisition of shares	-	197,615
	ZER01NE Fund III	Acquisition of shares	750,000	-

The Group maintains specified money trust transactions with Hyundai Motor Securities Co., Ltd., an other related party, and has deposits amounting to ₩60,000 million as of December 31, 2025 (December 31, 2024: ₩30,000 million). During 2025, the Group additionally deposited ₩30,000 million, and there was no withdrawal. During 2024, the Group deposited ₩30,000 million, and there was no withdrawal.

In addition, during 2025, the Group issued the 45-1st unsecured public bonds (two-year maturity) and the 45-2nd unsecured public bonds (three-year maturity), and Hyundai Motor Securities Co., Ltd. underwrote ₩5,000 million of each issue, totaling ₩10,000 million. The coupon interest rates of the bonds are 2.997% and 3.097% per annum, respectively, and the maturity dates are November 4, 2027 and November 3, 2028, respectively. As of December 31, 2025, the outstanding balance of bonds held by Hyundai Motor Securities Co., Ltd. amounted to ₩10,000 million.

(5) The amounts paid in accordance with the lease agreements with the related parties along with the lease assets/liabilities and interest expenses recognized in the consolidated financial statements are as follows:

(in thousands of Korean won)		December 31, 2025		2025
	Payment	**Right-of-use assets**	**Lease liabilities**	**Interest expenses**
Other related parties				
Hyundai Steel Corporation	₩ 473,627	₩ 4,899,697	₩ 5,090,409	₩ 326,363
Kia Corporation	488,308	574,763	589,390	27,580
Hyundai Capital Corporation	759,702	1,448,298	1,474,315	73,241

(6) The compensation paid or payable to key management for employee services for the years ended December 31, 2025 and 2024, consists of:

(in thousands of Korean won)	2025	2024
Salaries	₩ 23,370,155	₩ 20,248,245
Post-employment benefits	2,227,517	2,140,586
Other long-term employee benefits	17,862	12,052
	₩ 25,615,534	₩ 22,400,883

37. Contingencies and Commitment

(1) The payment guarantees and performance guarantees provided by the Group to related parties and others as of December 31, 2025, are as follows:

(in thousands of Korean won)

Provided entity	Description	Financial institutions	Guarantee amount[1]	
UI Trans Corporation	Contract performance	Seoul Guarantee Insurance Group	₩	179,836
Dongbuk LRT	Contract performance	Korea Construction Financial Cooperative		28,909,968

[1]The guarantee limit and the amount of the guarantee provided are the same.

(2) Checks and notes provided by the Group for guarantee and other purposes as of December 31, 2025, are as follows:

(in thousands of Korean won and in USD)

Secured creditor	Type	Amount[1]		Description
Hyundai Corporation	One check	USD	3,452,918	Contract performance
Dongbuk LRT	Three blank checks		-	Contract performance guarantee and investment agreement
Korea Defense Industry Association	One blank note		-	Pledged as collateral for guarantee letter issue
DL E&C Co., Ltd.	One blank note		-	Pledged as collateral for borrowings

[1]The guarantee limit and the amount of the guarantee provided are the same.

(3) As of December 31, 2025, payment guarantees provided by other companies are as follows:

(in thousands of Korean won, in USD and others)

Provider	Description	Amount of guarantee[1]	
ANZ Bank	Contract performance guarantee	NZD	1,754,340
ANZ Bank	Advance received reimbursement guarantee	TWD	5,420,188,673
ANZ Bank	Contract performance guarantee	AUD	73,002,448
Arab bank	Contract performance guarantee	EGP	1,943,111
Arab bank	Advance received reimbursement guarantee	EUR	40,718,468
BNP PARIBAS	Advance received reimbursement guarantee	USD	101,951,831
BNP PARIBAS	Advance received reimbursement guarantee	TWD	175,029,272
CA-CIB	Contract performance guarantee	TWD	1,260,387,268
CA-CIB	Advance received reimbursement guarantee	TWD	1,847,376,720
CA-CIB	Contract performance guarantee	USD	33,654,002
CA-CIB	Advance received reimbursement guarantee	USD	401,951,831
Chubb	Contract performance guarantee	USD	42,055,750
Euler Hermes	Advance received reimbursement guarantee	EUR	802,366
Euler Hermes	Contract performance guarantee	USD	40,286,750
Euler Hermes	Advance received reimbursement guarantee	TWD	1,786,621,250
KB Kookmin Bank	Contract performance guarantee	USD	28,393,512
KB Kookmin Bank	Contract performance guarantee	EUR	22,497,180
KB Kookmin Bank	Contract performance guarantee	JPY	727,276,418

(in thousands of Korean won, in USD and others)

Provider	Description	Amount of guarantee[1]	
KB Kookmin Bank	Advance received reimbursement guarantee	EUR	1,121,160
KB Kookmin Bank	Guarantee for defect	USD	7,915,200
KB Kookmin Bank	Guarantee for defect	EUR	1,302,474
KB Kookmin Bank	Tender guarantee	PLN	1,000,000
KB Kookmin Bank	Other guarantee	USD	6,867,600
KB Kookmin Bank	Other guarantee	EUR	60,197,071
KSURE	Contract performance guarantee	USD	33,654,002
NAB	Advance received reimbursement guarantee	AUD	129,434,614
NATIXIS	Contract performance guarantee	USD	1,950,249
NATIXIS	Guarantee for defect	TWD	28,745,176
NATIXIS	Contract performance guarantee	TWD	956,550,000
NATIXIS	Advance received reimbursement guarantee	USD	800,000,000
SC Egypt	Advance received reimbursement guarantee	EUR	1,351,010
SC Egypt	Advance received reimbursement guarantee	EGP	4,878,648
SC Taiwan	Advance received reimbursement guarantee	TWD	471,834,644
SC Taiwan	Tender guarantee	TWD	50,000,000
SC Taiwan	Guarantee for defect	TWD	628,355
SC Taiwan	Contract performance guarantee	TWD	1,090,548
Standard Chartered Bank Korea Ltd	Advance received reimbursement guarantee	USD	6,555,045
SGI Seoul Guarantee Insurance	Guarantee for defect	KRW	83,202,342
SGI Seoul Guarantee Insurance	Advance received reimbursement guarantee	KRW	33,677,098
SGI Seoul Guarantee Insurance	Other guarantee	KRW	421,753,430
SGI Seoul Guarantee Insurance	Contract performance guarantee	KRW	20,489,648
Societe Generale Bank	Contract performance guarantee	TWD	399,869,917
Societe Generale Bank	Advance received reimbursement guarantee	TWD	147,192,154
Societe Generale Bank	Contract performance guarantee	USD	4,987
UBAF Bank	Advance received reimbursement guarantee	EUR	2,947,756
UBAF Bank	Contract performance guarantee	EUR	1,473,378
UBAF Bank	Contract performance guarantee	USD	30,930,714
UBAF Bank	Advance received reimbursement guarantee	EGP	26,079,747
UBAF Bank	Contract performance guarantee	EGP	13,039,874
UBAF Bank	Tender guarantee	USD	2,000,000
UOB Malaysia	Contract performance guarantee	MYR	43,543,668
UOB Malaysia	Other guarantee	MYR	21,772,137
UOB Singapore	Contract performance guarantee	SGD	20,824,950
United Overseas Bank	Contract performance guarantee	AUD	7,159,671
United Overseas Bank	Contract performance guarantee	NZD	13,170,801
United Overseas Bank	Contract performance guarantee	HKD	122,326,063
United Overseas Bank	Advance received reimbursement guarantee	TWD	4,331,852,182
United Overseas Bank	Guarantee for defect	TWD	888,333,914
United Overseas Bank	Other guarantee	AUD	148,221
United Overseas Bank	Other guarantee	INR	35,467,372
Korea Construction Financial Cooperative	Other guarantee	KRW	160,491,020
Korea Defense Industry Association	Other guarantee	KRW	777,991,781
Shinhan Bank	Other guarantee	EUR	15,000,000
Shinhan Bank	Advance received reimbursement guarantee	TWD	94,030,153

(in thousands of Korean won, in USD and others)

Provider	Description	Amount of guarantee[1]	
Shinhan Bank	Advance received reimbursement guarantee	EUR	73,324,679
Shinhan Bank	#N/A	USD	28,713,064
Shinhan Bank	#N/A	PHP	44,390,890
Shinhan Bank	Advance received reimbursement guarantee	USD	633,723,376
Shinhan Bank	Advance received reimbursement guarantee	INR	687,952,526
Shinhan Bank	Contract performance guarantee	USD	1,865,220
Woori Bank	Advance received reimbursement guarantee	KRW	3,919,478
Woori Bank	Contract performance guarantee	USD	90,252,527
Woori Bank	Advance received reimbursement guarantee	USD	222,238,800
Woori Bank	Tender guarantee	USD	220,000
Machinery Financial Cooperative	Other guarantee	KRW	2,711,883,109
Hana Bank	Other guarantee	EUR	10,000,000
Hana Bank	Advance received reimbursement guarantee	TWD	640,238,304
Export-Import Bank of Korea	Contract performance guarantee	USD	17,292,864
Export-Import Bank of Korea	Contract performance guarantee	EUR	82,993,218
Export-Import Bank of Korea	Contract performance guarantee	TWD	1,660,257,185
Export-Import Bank of Korea	Contract performance guarantee	EGP	25,284,213
Export-Import Bank of Korea	Contract performance guarantee	PLN	8,204,642
Export-Import Bank of Korea	Contract performance guarantee	TRY	5,643,708
Export-Import Bank of Korea	Advance received reimbursement guarantee	TWD	1,858,295,014
Export-Import Bank of Korea	Advance received reimbursement guarantee	USD	400,000,000
Export-Import Bank of Korea	Guarantee for defect	USD	13,000,000
Hyundai Motor Company	Contract performance guarantee	HKD	17,506,239
Hyundai Motor Company	Contract performance guarantee	NZD	273,846
Santander	Contract performance guarantee	EUR	44,186,786
Santander	Advance received reimbursement guarantee	EUR	147,289,286
Zurich	Other guarantee	CAD	593,945
Zurich	Contract performance guarantee	USD	100,000,000
Deutsche Bank	Advance received reimbursement guarantee	TWD	1,062,936,005
ING	Contract performance guarantee	USD	64,595,848
Citi	Other guarantee	USD	50,000
VAKIFBANK	Other guarantee	TRY	82,807,606
YAPI KREDI BANK	Other guarantee	EUR	2,000,000
YAPI KREDI BANK	Other guarantee	TRY	31,320
GARANTI BANK	Other guarantee	TRY	574,125
Pottencial	Other guarantee	BRL	18,098,293
Hana Bank	Contract performance guarantee	EUR	4,500
Hana Bank	Contract performance guarantee	USD	65,854
Machinery Financial Cooperative	Contract performance guarantee	KRW	8,394,525

[1]The amount is based on the execution amount.

(4) As of December 31, 2025, the Group entered into loan agreements with Hana Bank and 2 others (limit: ₩81,000,000 thousand, USD 20,000,000, EUR 30,000,000). The Group is provided with a credit line for import L/C (limit: USD 281,990,000 amount used: USD 100,608,097) by Korea Development Bank and 8 others, and contract performance guarantee and others (limit: ₩6,049,666,522 thousand, USD 6,148,666,979) by ANZ Bank and 35 others. In addition, the Group entered into accounts receivable loan agreement with Hana Bank (limit: ₩306,300,000 thousand).

(5) As of December 31, 2025, certain land, buildings and other property, plant and equipment of the Group have been pledged as collateral in connection with borrowings, for which maximum secured amounts of ₩174,999,500 thousand and USD 120 million have been established. In addition, certain investments and export contract assets of the Group have been pledged as collateral in relation to borrowings and payment guarantees provided. Furthermore, shares of Dongbuk LRT Co., Ltd. held by the Group have been pledged as collateral in connection with borrowings of the investee.

(6) As of December 31, 2025, the Group is involved in domestic and foreign lawsuits and arbitrations as a defendant (18 lawsuit cases, with an aggregate claim amount of ₩202,048,894 thousand). The impact on the consolidated financial statements cannot be reasonably estimated because the amount and timing of outflows of resources are uncertain. As of December 31, 2025, the Group recognizes the ₩70,568,979 thousand provision in connection with the lawsuits.

38. Operating Segment Information

(1) The Group's business consists of a Railway, Defense System, and Plant and Machinery.

(2) Sales and operating profit by operating segments for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025		2024	
	Sales	**Operating profit (loss)**	**Sales**	**Operating profit (loss)**
Defense system	₩ 3,215,270,643	₩ 956,317,955	₩ 2,365,206,072	₩ 563,211,521
Railway	2,089,645,548	29,233,900	1,495,603,554	(123,171,319)
Plant and machinery	534,115,362	20,088,654	515,788,231	16,525,332
	₩ 5,839,031,553	₩ 1,005,640,509	₩ 4,376,597,857	₩ 456,565,534

(3) Details of external customers, who contribute more than 10% of the Group's revenue for the years ended December 31, 2025 and 2024, are as follows:

(in thousands of Korean won)	2025	2024	Segments
Customer 1	₩ 2,201,684,243	₩ 1,547,920,708	Defense system
Customer 2	744,375,980	621,022,698	Defense system